

✕ Hide question list

✕ 1 **Don't give up now! Trust the process.**

✕ 2

✕ 3 **Your time: 2 min.**

✕ 4

✕ 5

✕ 6

✕ 7

Correct

0

Incorrect

552

✕ **Your answers**

✕ 9

✕ 10

✕ 11

✕ 12

✕ 13

✕ 14

✕ 15

✕ 16

✕ 17

✕ 18

✕ 19

✕ 20

✕ 21

✕ 22

Term 

1 of 552

The los under a watercraft endorsement is covered if it arises out of:

Give this one a go later!



the use of the watercraft for  
business party

market conduct regulation

The benefits are tailored to the  
group

yes under the personal property  
party of his HO policy

Don't know?

Term 

2 of 552

Under the liability portion of an unendorsed personal auto policy, what coverage is available if the named insured is operating a company car on a regular basis

Give this one a go later!

the named insured from the declaration page, exclusive



the policy exclude this usage

business owners policy

75% of the limit

Don't know?

Term 

3 of 552

If an insured under a personal auto policy leaves a covered auto dealer for repairs, and the auto is involved in an accident while being test driven by employee of the dealer, how will the personal auto policy respond to liability claims

Give this one a go later!



the personal auto policy is excess

the broadest coverage on any auto shown in the declarations

the neighbor's policy is primary and the driver's policy is excess

the policy exclude this usage

Don't know?

Term 

4 of 552

which of the following is considered special damages

Give this one a go later!

Coverage for property damage repairs

Payment for emotional distress



Compensation for time away from work

Reimbursement for medical expenses

Don't know?

Term 

5 of 552

Under a scheduled personal property endorsement, loss to stamps is excluded when they are:

Give this one a go later!

excess and surplus lines insurer

the producer is a surplus lines broker

by adding a personal injury endorsement

✓ being shipped with freight company

Don't know?

Term 

6 of 552

What is an additional coverage provided by HO3 policy

Give this one a go later!

Methods of risk management

the producer is a surplus lines  
broker



tree, shrubs, and other  
plants

The chance of loss only

Don't know?

Term 

7 of 552

Your commercial auto policy insured needs coverage for his liability arising out of his employee using their o cars in his own cars in his business. The best way to be sure your insured is covered is to:

Give this one a go later!

theft only losses

\$80,000 on the dwelling; \$16,000  
garage

✓ include employers non  
ownership liability coverage  
in employer's commercial  
auto policy

dwelling, other structures, and  
personal property

Don't know?



Definition 

8 of 552

when less than 31% of the building space is rented to other or in use by the insured

Give this one a go later!

If more than 50% of the building space is rented to others

If the entire building is used by the insured for storage

If the property is fully occupied by tenants

✓ If a property owner is insured under a building and personal property insurance form, when is the property considered vacant

Don't know?

Term 

9 of 552

All of the following are areas that market regulation cover  
EXCEPT

Give this one a go later!



Employee training

Equipment quality

Sales

Repair standards

Don't know?

Definition 

10 of 552

make all necessary repairs to protect the property from further damage. The expenses is paid by the insured

Give this one a go later!

The best definition of the term "collision" as found in a personal auto policy is which of the following?

If the named insured has been charged with arson in reference to a total loss to the insured's building, what effect will the insured's action have on the mortgage holder's claim for damages?

A hoe is damags two hours after an earthquake, first by fire and then by fuel pipes burting and causing an explosion. Under a homeowner's HO3 form:

✓ An insured duties after a loss are described in the homeowner's section 1 conditions. Which of the following is NOT a correct statement about these duties? The insured must:

Don't know?

Term 🔊

11 of 552

• The word "materiality" applies to the concept of concealment and representation. Which of these is true in this regard?

Give this one a go later!

the large amount of resources needed for some catastrophic losses



the materiality of any information in this regard is determined by the influence of the fact on each party in determining their estimates of the disadvantages of the proposed contract

a "palm pilot" computer (owned by the insured) is stolen from the vehicle while parked in the insured's driveway. There are forcible signs of the vehicle

Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land

Don't know?

Term 

12 of 552

Which of the following is not listed on a commercial general liability declarations page as an aggregate limit?

Give this one a go later!



products/completed limit

Weight of contents

they may not use race color,  
religion, or national origin as  
condition to use higher rate

number of listed drivers

Don't know?

Term 

13 of 552

What of the following is NOT one the three main types of insurance losses

Give this one a go later!

Sentimental loss



Financial loss

Auto accident

Direct loss

Don't know?

Term 

14 of 552

X is in an accident with Y. X suffers \$5000 of damage but it is determined that X is 60% responsible for the accident. How much would X receive under CONTRIBUTORY negligence rules?

Give this one a go later!

maintaining the best interest of customers first and foremost

money

\$150,000

✓ \$0

Don't know?

Term 

15 of 552

What is the primary reason for co-insurance clauses in property policies

Give this one a go later!

to reduce premiums for low-risk properties

to limit the insurer's liability in case of underinsurance

to discourage frequent claims by the insured

✓ to encourage insured's to purchase coverages near the value of the property

Don't know?



Term 

16 of 552

- Which of the following insurance professionals would be employed to aid an insurance broker

Give this one a go later!

life analyst.

underwriter

life agent

☒ insurance solicitor

Don't know?

Term 

17 of 552

In California. Excess and surplus lines coverage needs to be placed through

Give this one a go later!

a limited insurance representative

any insurance producer

✓ a surplus lines broker

a foreign insurer

Don't know?

Term 

18 of 552

A home is damaged two hours after an earthquake, first by fire, then by fuel pipes bursting and causing an explosion. Under an HO3 form:

Give this one a go later!

collision coverage,  
comprehensive coverage, or  
specified peril coverage's



there is coverage, but only  
for the damage caused by  
the fire and explosion

Receive full payment for the loss,  
if the required premium has been  
paid

this limit could reduce the  
products and completed  
operations

Don't know?

Term 

19 of 552

The water damage exclusion in the cause of loss- special for applies to all the following, EXCEPT:

Give this one a go later!

the policy will pay all needed expense the insured incurs for the rental car to the stated limits found in the policy

✓ plumbing system leakage

insured risk and peril

Tort law

Don't know?

Term 

20 of 552

A practicing physician would need the type of professional liability coverage that is contained in a medical malpractice policy because:

Give this one a go later!

there is coverage, but only for the damage caused by the fire and explosion

✓ professional liability and malpractice losses are excluded in commercial general liability policies

when the insurance company representative signs the notice of appointment

large limbs and branches of a tree that have fallen into the street as a result of a windstorm. The insured collides with them

Don't know?

Term 

21 of 552

Which of the following lines of in insurance would cover the loss of net income a business incurs due to a fire

Give this one a go later!

number of listed drivers

A situation that offers the possibility for a loss or gain

✓ business income insurance

basic, broad and special

Don't know?

Term 

22 of 552

What is the requirement and what is provided under the Mexico coverage endorsement to a PAP in California?

Give this one a go later!

A vehicle that is self-insured because it is owned by a state agency

Liability loss exposure

✓ provide liability coverage (excess) for any accident in Mexico with 25 miles of the us border

Replacement cost less depreciation

Don't know?

Term 

23 of 552

An open peril policy protects against the loss from

Give this one a go later!



Any peril, other than those specifically excluded

Specific perils listed in the policy

Only named perils

Perils covered by additional endorsements

Don't know?



Term 

24 of 552

Which of the following perils is included in the broad form, but not in the basic form

Give this one a go later!

an unfair practice

✓ falling objects

.An at fault accident involving  
minor bodily injury

Other-than-collision coverage

Don't know?

Term 

25 of 552

Which of the following is most likely to be eligible for CA FAIR plan?

Give this one a go later!

a contract of insurance that is temporary, only in writing, between the insured and the insurer

✓ a well- maintained dwelling located in a hazardous brush area

liability, uninsured motorist, medical payments, collision and other than collision

the content and wording of the policy is stated in the state insurance code

Don't know?

Term 

26 of 552

Your HO3 insured wants to make sure he has liability protection against claims for false arrest, libel and slander. You should

Give this one a go later!

auto and personal liability only

the first named insured and the insurer

the insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%



tell him he should add the personal injury endorsement

Don't know?

Term 

27 of 552

• What type of insurance company has owners who are stockholder in company and who share in the profits of the company?

Give this one a go later!



stock insurance companies

mutual insurance companies

captive insurance companies

bond insurance companies

Don't know?

Term 

28 of 552

of the following which is true characteristic about insurance

Give this one a go later!

it is a way of eliminating risk



it is considered a method of  
transferring risk

it is a strategy for avoiding risk

it is considered a method of  
increasing risk

Don't know?

Term 

29 of 552

The business income coverage form covers the actual loss of business income sustained due to necessary suspension of operations. The loss of income must

Give this one a go later!



be caused by an insured peril, otherwise there is no coverage

the content and wording of the policy is stated in the state insurance code

by adding a personal injury endorsement

other vessels that receive collision damage from the insured vessel

Don't know?

Term 

30 of 552

what is the main purpose of tort law

Give this one a go later!

to punish offenders for their actions



to determine financial responsibility for damage

to prevent future accidents from occurring

to resolve disputes without financial considerations

Don't know?

Term 

31 of 552

- The insurance code definition of "insurance broker" is

**Give this one a go later!**

someone paid to transact  
insurance on behalf of  
another person, but not on  
behalf of the insurer

someone paid to transact  
insurance on behalf of the insurer

someone who sells insurance  
directly to consumers

someone authorized to manage  
insurance claims for the insurer

**Don't know?**



Term 

32 of 552

Which of the following is not a type property commonly insured by using a comical coverage

Give this one a go later!

Built- in appliance

Basic principle of insurance

Insurane service office and  
American association of  
insurances

✓ automobiles while kept for  
the owner in a commercial  
parking garage

Don't know?

Term 

33 of 552

Of the following choices, which is correct regarding why a motorcycle is not automatically covered under a personal auto policy?

Give this one a go later!

the mortgagee is entitled to receive 100% of their loss

Receive full payment for the loss, if the required premium has been paid



an unendorsed personally auto policy does not automatically cover two wheeled vehicles

Excluded under the concurrent causation

Don't know?

Term 

34 of 552

- How do insurance regulators view a statement made by an agent to a prospective insured that the dividends of an insurance contract are guaranteed each year?

Give this one a go later!



this would be considered a misrepresentation

this is acceptable as long as it is in writing

this is allowed if approved by the insurance company

this would be considered a standard practice

Don't know?

Term 

35 of 552

An insurer that has a certificate of authority in California is

Give this one a go later!

consealment

neither of these apply

✓ amitted

insolvent

Don't know?

Term

36 of 552

A commercial building which is a combination office, retail, and warehouse space, has been left vacant by its owners for more than 60 consecutive days. In what manner will an insurance company respond to loss that occurs, which is covered under the commercial building and personal property coverage form which has a broad form cause of loss a on the building

Give this one a go later!

make all necessary repairs to protect the property from further damage. The excludes that part of the loss resulting from the enforcement of a building ordinance or law

✓ any part of the loss which is caused by the perils of vandalism, theft or glass breakage, sprinkler leakage will not be covered

breakage of glassware by an earthquake

it must be the result of a peril that is insured under the policy, otherwise there will be no coverage

Don't know?

Term 

37 of 552

What perils are insured against under the "additional coverage's property removed" of a homeowners policy?

Give this one a go later!

✓ all perils

Financial loss

awnings

falling objects

Don't know?

Term 

38 of 552

- A licensed fire and casualty broker-agent when properly appointed may transact all of the following except

Give this one a go later!

paid time off

workers compensation

automobile insurance

☒ health insurance

Don't know?

Term 

39 of 552

Mary has an HO3 policy with replacement cost coverage on the insured buildings. The cost of replacement on the dwelling is \$100,000, and the other structure (a garage) is \$20,000. To be certain of replacement cost coverage on a partial loss to either structure, she must carry a minimum of

Give this one a go later!

the professional designation "CPCU" is acceptable following the name of any fire and casualty underwriter



\$80,000 on the dwelling;  
\$16,000 garage

Conditions

life insurance

Don't know?



Term 

40 of 552

Which type of exposure can be best be defined as a condition or situation for any exposure or financial loss is presented to an individual or family by such cause as injurydisability, death or sickness

Give this one a go later!

Property loss exposure

Financial loss exposure

✓ Personal loss exposure

Worker's compensation exposure

Don't know?

Term 

41 of 552

Max's personal auto policy (PAP) has liability and collision coverage. His neighbor's car has liability coverage only. Max borrows his neighbor's car to go the store and has an accident that is his fault. He damages his neighbor's car another car. Max PAP provides

Give this one a go later!



liability coverage that is excess of his neighbor's liability coverage. His collision coverage also applies, but on primary basis

the cost of repairing the neighbor's fence that Steven damage due to the negligent operation of his car

all coverage under the personal auto policy

all coverage is in force in the personal auto policy

Don't know?

Term 

42 of 552

All of the following are common policy conditions under the commercial lines program, EXCPET

Give this one a go later!

basic, broad and special

number of listed drivers

✓ insured risk and peril

Personal loss exposure

Don't know?

Term 

43 of 552

Which is an additional coverage does a DP2 have compared to a DP1

Give this one a go later!



additional living expense

additional living expenses

the insured desires broader coverage

Built- in appliance

Don't know?

Term 

44 of 552

What does a supplemental extended reporting period endorsement provide?

Give this one a go later!

Physical

plubing system leakage

liabilitty if the insured vessel strikes a marina and injures a dock worker



extends the filling reporting period indefinitely

Don't know?

Term 

45 of 552

Which of items of real property under HO3 are valued on an actual cash value basis?

Give this one a go later!



Built- in appliance

there is no difference

Lost wages

products/completed limit

Don't know?

Term 

46 of 552

What is one difference between a homeowners policy and dwelling policy for personal property coverage?

Give this one a go later!

professional athletes and coaches

excess and surplus lines insurer



there is no appreciable difference

covered as other collision loss

Don't know?

Term 

47 of 552

A car is insured using a personal auto policy. The car is damaged by hail. The loss is:

Give this one a go later!

farming or ranching

open or all-risk coverage

it transact insurance according to laws of the state of California



covered as other collision loss

Don't know?



Term 

48 of 552

All of the following would be considered benefits of insurance  
EXCEPT

Give this one a go later!

Transfer of risk to the insurer

Coverage for unexpected events



Retention of the loss by the  
insured

Financial protection against  
losses

Don't know?

Term 

49 of 552

What must a licensee do in order to surrender for cancellation a license in their possession?

Give this one a go later!



deliver the document itself  
to the commissioner

file the document with the county  
clerk

mail a copy of the document to  
the commissioner

destroy the document and notify  
the commissioner

Don't know?

Term 

50 of 552

The limited Mexico endorsement applies to trips to Mexico with duration of

Give this one a go later!

Toronto,Canada

A loss only

collapse

✓ 10 days or less

Don't know?

Term 

51 of 552

Which of the following choices is NOT covered under section 2 of a homeowners policy?

Give this one a go later!

Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land

does not have the authority to collect premiums from producing broker agents.

the named insured's( non-resident) spouse



the insured being liable for a bodily injury to someone in the insured's immediate resident family

Don't know?

Term 

52 of 552

Which of the following does not have a standard coverage form in common use?

Give this one a go later!

common policy declaration and conditions

✓ umbrella policy

plubing system leakage

Tort law

Don't know?

Term 

53 of 552

Which of the following is reason why someone would purchase a Dwelling policy instead of an HO3?

Give this one a go later!



broader coverage is desired

riot or civil commotion

a well- maintained dwelling  
located in a hazardous brush area

the named insured's( non-  
resident) spouse

Don't know?

Term 

54 of 552

The loss exposures in the following situations resulting in bodily injury or property damage claims are all excluded under a commercial general liability policy EXCEPT

Give this one a go later!

✓ A Patron of the insured business is injured by an employee of the insured, at the customer's residence. The employee was at the residence to perform the carpentry services that the business provides

expense of repairing a neighbor's wall, surrounding a garden, that Jackie accidentally backed through

the insured is car- pooling to work with her neighbor when they are in an accident. Both are injured and incur almost \$3000 each in medical expenses. The insured and her neighbor would each be paid \$2000 from the policy

DVD player all in one unit. He collides with a parked car and destroys the new TV. How would this loss be covered?/ the homeowners policy-personal property coverage

Don't know?

Term

55 of 552

You meet with a small furniture manufacturer and make a property and liability insurance recommendation. You have insured many risk of this type in the past and have a good idea of what their needs may be. There are several popular ways of determining business loss exposure. Which of the following ways are the least professional and least likely to correctly identify the loss exposure?

Give this one a go later!

deliver the document itself to the commissioner

transact business only with non admitted insurers



get a copy of all current policies and determine what coverages they have been carrying and how much they have been paying

file a notice of appointment with the commissioner

Don't know?



Term 

56 of 552

Under tort law a corporation can be subject to a claim for legal liability on the basis,

Give this one a go later!



Absolute liability

Vicarious liability

Commercial general liability

Contingent liability

Don't know?

Term 

57 of 552

Which property is excluded under an HO3 policy?

Give this one a go later!



guard dog

the vessel itself

Other collision

physical damage, liability and  
medical payments

Don't know?

Term

58 of 552

• An insurance company pays a loss and continues coverage under an auto policy under the following circumstances. An insured honestly thinking that he received his last traffic ticket more than 36 months ago. Applies for an auto policy stating that he has had not ticket or accidents in the past 36 months. Several days after the policy is issued the insured's car is stolen. While the claim is being processed the insurance company discovers that the insured had received his most recent traffic ticket for speeding 32 months ago. Why is the claim paid and the policy

Give this one a go later!



the concealed facts were not material, they would paid the claims anyways

this would be considered a misrepresentation

the applicant has previously has a licenses application denied for cause within the past five years

they are subject to the, all of the above

Don't know?

Term 

59 of 552

What type of policy protect against loss from any peril except those that are specifally excluded

Give this one a go later!

Specified peril

Named peril

Perils insured

✓ All-risk or open peril

Don't know?

Term 

60 of 552

Of the following loss scenarios, identify the one that is excluded from coverage under both the collision and other than collision coverage of an insured's PAP

Give this one a go later!

a 12 hour course on ethics and CA code



a "palm pilot" computer (owned by the insured) is stolen from the vehicle while parked in the insured's driveway. There are forcible signs of the vehicle

these types of vehicles( motorcycles, and other types of non-automobiles) are not covered under a personal auto policy that is unendorsed

large limbs and branches of a tree that have fallen into the street as a result of a windstorm. The insured collides with them

Don't know?

Term 

61 of 552

What are the licensing requirements for individuals that are permitted to sell the California FAIR plan?

Give this one a go later!

company funds and securities  
that are stolen by an employee



individuals having a fire &  
casualty broker- agent  
license

the named insured's( non-  
resident) spouse

there is the convenience all  
coverage being contained in one  
policy, which typically contains  
package discounts

Don't know?

Term 

62 of 552

Kim's car is insured with a personal auto policy. The coverage includes medical payments with \$2000 limits, which of the following is true statement about the medical payment coverage for necessary medical expenses?

**Give this one a go later!**

the driver's license of the individual who usually operates the vehicle that is insured by the policy and who is insured by the policy has had license suspended temporarily



Kim gives her neighbor ride to the store in the insured car. She has an auto accident in which they each incur over \$2000 in medical expenses. The maximum that Kim's policy will pay is \$2000 to her and \$2000 to her neighbor

what type or types of insurance, from the following list, may this individual sell, auto, property insurance

If there is a loss resulting from two or more perils that occur at the same time to cause a loss then is no coverage is any of the perils are excluded

**Don't know?**

Term 

63 of 552

Which of the following would be know as the process whereby an insurer determine appropriate changes for its policies

Give this one a go later!



Rate-making

Sales

Marketing

Underwriting

Don't know?



Term 

64 of 552

If a motor home is scheduled on a miscellaneous type of vehicle endorsement, all of the following property covered, EXCEPT

Give this one a go later!



awnings

paintings

tv antennas

outdoor swimming pools

Don't know?

Term 

65 of 552

What else must an applicant for a fire and casualty license . life agent license. Or personal lines agent license complete in addition to pre- classroom study?

Give this one a go later!

a 15 hour seminar on insurance products

a 24 hour course on financial planning

a 6 hour workshop on sales techniques



a 12 hour course on ethics and CA code

Don't know?

Term 

66 of 552

The limit of liability in a personal auto policy providing coverage for "damage to your automobile" is stated as " the lesser of the amount necessary to replace or repair the damaged property (vehicle) or the \_\_\_\_\_(fill in the blank from the choice below

Give this one a go later!

physical damage coverage



actual cash value of the  
damaged or stolen property

differ and therefore avoids any  
over- laps between the two  
contracts

a 12 hour course on ethics and CA  
code

Don't know?

Term 

67 of 552

What coverage is available under the miscellaneous type vehicle endorsement?

Give this one a go later!

limited coverage for specific repairs



all coverage under the personal auto policy

no coverage under the personal auto policy

liability coverage only

Don't know?

Term 

68 of 552

What does it mean if an agent's license is inactive?

Give this one a go later!

the agent is authorized to sell policies for a limited time



the agent cannot transact any insurance business for valid, active license is required

the agent can transact business with approval from the insurer

the agent can only transact life insurance business

Don't know?

Term 

69 of 552

The possibility of financial loss resulting from the ownership of property is know as

Give this one a go later!



Insurable interest

Other collision

Pure risk

Utmost good faith

Don't know?

Term 

70 of 552

A commercial lines policy contains a number of conditions. which of these is not one these conditions?

Give this one a go later!

the personal auto policy is excess

plubing system leakage

plumbing system leakage

✓ perils insured by the policy

Don't know?

Definition 

71 of 552

the insured's right to recover payment from a responsible 3rd party

Give this one a go later!

The exclusion for liquor liability found in a commercial general liability policy excludes coverage for any liability claims that are the result of:

Where do most states require insurers to file policy forms?



the term "subrogation" refers to

What does a "pure risk" consist of ?

Don't know?



Term 

72 of 552

What is the coverage under a homeowners policy that is personal property of the insured, when personal property is away from the premises, while the insured is traveling anywhere in the world/

Give this one a go later!



the identical coverage limits to that of coverage personal property on the premises

make sure all necessary repairs to protect the property from further damage. The expense is paid by the insured

the applicant for the insurance has had no previous license denied for cause with previous 5 years

there is coverage, but only for the damage caused by the ensuing fire and explosion

Don't know?

Term 

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- If an insured signs a claim form a claim which is fraudulent the insured may be guilty of

**Give this one a go later!**

misdemeanor

physical

concealment

☒ perjury

Don't know?

Term 

74 of 552

An insured's duties after a loss are described in the homeowner's section 1 conditions. Which of the following is NOT correct statement about these duties? The insured must:

Give this one a go later!



make sure all necessary repairs to protect the property from further damage. The expense is paid by the insured

the insured regularly uses, at the permission of his employer, a company owned car and has an accident with the vehicle

the mortgagee is entitled to receive 100% of their loss

it must be the result of a peril that is insured under the policy, otherwise there will be no coverage

Don't know?

Definition 

75 of 552

what type or types of insurance, from the following list, may this individual sell, auto, property insurance

**Give this one a go later!**

An insured duties after a loss are described in the homeowner's section 1 conditions. Which of the following is NOT a correct statement about these duties? The insured must:

- ✓ • All licensees must be appointed by the insurance companies they represent in order to sell the lines of insurance that a particular insurer may offer. Assuming that a licensed fire and casualty broker/agent has received the proper appointment

An insured living in California has the following coverage's under PAP: with liability, medical payments, and loss other than collision. The individual vehicle is stolen from her driveway and then totally wrecked. Which of the following cover this loss?

What is the primary difference between umbrella and excess liability policies/

**Don't know?**

Term

76 of 552

If an insurer pays an insured \$25000 in lost wages, \$45,000 for physically visits and hospital cost and \$15,000 for physical therapy treatments and later finds out that the claim was fraudulent the insured may be fined as much as 000 in lost wages, \$45,000 for physically visits and hospital cost and \$15,000 for physical therapy treatments and later finds out that the claim was fraudulent the insured may be fined as much as

Give this one a go later!

☒ \$170000

Don't know?

Term 

77 of 552

What would be the reason(s) for \$100 deductible versus a \$1000 deductible

Give this one a go later!

Reason for the loss event that leads up to loss

✓ Neither of these apply

Receive full payment for the loss, if the required premium has been paid

Replacement cost less depreciation

Don't know?

Definition 

78 of 552

or B of the commercial general liability (CGL) contract contains coverage for: /advertising injury

Give this one a go later!



Coverage's A and

• The insurance code definition of "insurance broker" is

A homeowners policy that includes a "scheduled personal property endorsement " provides coverage which of the following?

Under a yacht policy, protection and indemnity provides coverage for

Don't know?

Term 

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What exactly do umbrella policies provide coverage for?

Give this one a go later!

tree, shrubs, and other plants



broad excess liability  
coverage over two or more  
underlying polies

allow the company to inspect the  
damaged property before it is  
repaired

Amount to replace the damage  
property without a deduction for  
depreciation

Don't know?



Term 

80 of 552

Which of the following cities would fall within the policy territory limits of PAP issued by an insurer in the state of california?

Give this one a go later!



Vancouver,Canada

Underwriting

the approximate dollar amount of  
an insurer's liability of at least one  
(or more)open claims

Vicarious liability

Don't know?

Term 

81 of 552

What will happen when an agent's appointment to an insurance company is terminated and the agent has no other appointment with any other insurance company?

Give this one a go later!



The agent's permanent license becomes inactive

The agent's license remains active indefinitely

The agent's license is suspended temporarily

The agent's license is automatically revoked

Don't know?

Term 

82 of 552

Which of the following would be used for a new single-family dwelling?

Give this one a go later!

HO6

an employee accidentally getting injured, at a customer's home while working at the customer's home

✓ HO5

riot or civil commotion

Don't know?

Term 

83 of 552

Identify which of the following is always included in a commercial package policy?

Give this one a go later!

being shipped with freight company

umbrella policy



common policy declaration and conditions

the named insured's( non-resident) spouse

Don't know?

Term 

84 of 552

Which of the following coverage parts is not found in standard commercial policy?

Give this one a go later!

property insured under coverage  
A

there is no appreciable difference



the dwelling property  
coverage part

additional cost necessary to make  
a restroom ADA compliant

Don't know?

Term 

85 of 552

Company that negotiates and binds ceding reinsurance on behalf of an insurer is considered

Give this one a go later!

representative of the consumer

✓ managing general agent

terminating producer

resident producer

Don't know?

Term 

86 of 552

What is the primary difference between an HO3 and an HO5?

Give this one a go later!

Duty, breach, proximate cause,  
damages

ACV = replacement cost minus  
depreciation

all of the above



coverage C broad named  
perils

Don't know?

Term 

87 of 552

All of the following would be considered benefits of insurance except

Give this one a go later!

Coverage for unexpected events

Transfer of risk to the insurer



Retention of loss by the insured

Financial protection against future losses

Don't know?



Term 

88 of 552

The limits of medical expense coverage in a workers' compensation policy is:

Give this one a go later!

broader coverage is needed by the insured

both provide open peril coverage for the dwelling



not limited for either the time and/or the dollar amount

liability coverage for watercraft listed on the schedule

Don't know?

Term 

89 of 552

Which of the following persons is not an insured under section 1 of a homeowners policy?

Give this one a go later!

property insured under coverage A

Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land

riot or civil commotion

✓ the named insured's( non-resident) spouse

Don't know?

Term 

90 of 552

Representation as to the future is considered which of the following

Give this one a go later!

momentum

✓ promise

harvest

personality

Don't know?

Term 

91 of 552

Which is a valid reason for an applicant to purchase a HO3 policy instead of dwelling policy?

Give this one a go later!

property insured under coverage  
A

the perils insured against

Other-than-collision coverage

✓ the insured desires broader  
coverage

Don't know?

Term 

92 of 552

Mary has an HO3 policy with replacement cost coverage on the insured buildings. The cost of replacement on the dwelling is \$100,000, and the other structure( a garage) is \$20,000. To be certain of replacement cost coverage on a partial loss to either structure, she must carry a miniumum of

Give this one a go later!

The benefits are tailored to the group

HO3



\$80,000 on the dwelling;  
\$16,000 garage

the named non-owned coverage endorsement

Don't know?

Definition 

93 of 552

are included in vacancy permit endorsement?/ all of the above

Give this one a go later!

Which of the following perils is included in the broad form, but not in the basic form

An automobile insurance company is permitted to cancel a personal auto policy for which of the following reasons?

Which coverage's are typically provided in a boat owners policy?

✓ Which peril(s) is

Don't know?

Term 

94 of 552

The commercial property conditions included a condition called "liberalization". The effect of this condition is

Give this one a go later!



To automatically apply broader coverage to the commercial property coverage part if a policy form revision would broaden coverage without an addition premium

To exclude certain coverages from the commercial property coverage part

To restrict coverage to specific perils only

To require additional premiums for broader coverage

Don't know?

Term 

95 of 552

Which coverage's are typically provided in a boat owners policy?

Give this one a go later!

ACV=replacement cost minus depreciation



physical damage, liability and medical payments

There is usually no direct correlation between the amount of general and special damages awarded to the victim

the insured desires broader coverage

Don't know?



Term 

96 of 552

What is one way in which the HO2, HO4, and HO6 are similar?

Give this one a go later!



perils insured against under coverage C

whether the rate mathematically reflects the insurance company's investment income

it is considered a method of transferring risk

the large amount of resources needed for some catastrophic losses

Don't know?

Term 

97 of 552

When must insurance records for insurance agents and insurance broker be made available to the insurance commissioner?

Give this one a go later!

✓ all times

only before the insurance is in effect

twice per week

around 90 seconds

Don't know?

Term 

98 of 552

- Which of the following best defines a binder

Give this one a go later!



a contract of insurance that is temporary, only in writing, between the insured and the insurer

a permanent insurance policy between the insured and the insurer

a preliminary quote that is not binding until finalized

a verbal agreement for insurance coverage between the agent and the insured

Don't know?

Term 

99 of 552

What is the primary medical payment coverage difference between a boat owners policy and HO3 policy?

Give this one a go later!

common policy declaration and conditions

✓ the boat owners policy covers injuries to the people on the boat, and the HO3 covers injuries to other outside the home

Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land

the neighbor's policy is primary and the driver's policy is excess

Don't know?

Term 

100 of 552

The watercraft endorsement on a homeowners policy extends coverage for

Give this one a go later!

it transact insurance according to laws of the state of California



liability coverage for watercraft listed on the schedule

The amount to replace damage property minus depreciation

actual cash value of the stolen or damaged property

Don't know?

Term 

101 of 552

If a named insured is not the owner of the building, improvements and betterments are covered under the

Give this one a go later!

broader coverage is desired

insured risk and peril

✓ business personal property

covered as an other-than-collision loss

Don't know?

Term 

102 of 552

Where is ocean marine liability insurance found?

Give this one a go later!

physical damage coverage

Replacement cost less  
depreciation

additional living expense



protection and indemnity  
coverage

Don't know?

Term 

103 of 552

An organization will cease too exist as an entity eliglble to hold a liceense for all of the following reasons EXCEPT

Give this one a go later!

signing a covering note



termination of key  
employee

possible fraudulent claims made  
by insured's

prior approval

Don't know?



Term 

104 of 552

• How is an admitted insurer defined according to California DOI?

Give this one a go later!

it is exempt from California insurance regulations

it specializes in international insurance

it operates without state approval

✓ it transact insurance according to laws of the state of California

Don't know?

Term 

105 of 552

- The California insurance code contains requirements concerning the requirements for name approval for all insurance licensees. These requirements included which of the following?

**Give this one a go later!**

the professional designation "cic" is mandatory following the name of any health insurance advisor

the professional designation "clu" is required following the name of any life insurance agent

✓ the professional designation "CPCU" is acceptable following the name of any fire and casualty underwriter

the professional designation "p&c" is acceptable following the name of any property insurance broker

**Don't know?**

Term 

106 of 552

What is self- insured retention under an umbrella policy?

Give this one a go later!



a deductible applicable to losses excluded by the underlying coverage and covered by the umbrella

coverage for sickness or injuries illnesses that are job related without regard to who is at fault or negligent

paint on the premises to be applied to the interior

protection and indemnity coverage

Don't know?

Term 

107 of 552

Which of the following statements is NOT true? A fire and casualty agent

Give this one a go later!



does not have the authority to collect premiums from producing broker agents.

is authorized to issue policies directly to customers

can bind coverage on behalf of the insurer

is permitted to negotiate terms with insurance companies

Don't know?

Term 

108 of 552

What is one peril included in DP2 that is not included in a DP1

Give this one a go later!



falling objects

liability and medical payments

there is no appreciable difference

open or all-risk coverage

Don't know?

Term 

109 of 552

Damage which is the result of a hailstorm, in which of the following ways under a personal auto policy?

Give this one a go later!



covered as an other-than-collision loss

notice must be sent with return receipt reuired

covered as other than collision loss

the dwelling property coverage part

Don't know?

Term 

110 of 552

The collision coverage of a the personal auto policy covers?

Give this one a go later!



damage caused by the insured, driving into a fallen tree, that fell during a storm

Perils other than those specifically named as being excluded

hitting any other vehicle or object with the insured vehicle, or the upset of the insured vehicle

allow the company to inspect the damaged property before it is repaired

Don't know?

Term 

111 of 552

An individual who lives next to a nuclear power plant is exposed to which of the following types of hazard?

Give this one a go later!

Social

Economic

Political

✓ Physical

Don't know?



Term 

112 of 552

Every admitted insurer in the state of California is required to maintain a unit or division to investigate which of the following?

Give this one a go later!

marketing and advertising  
strategies

policy renewals and updates



possible fraudulent claims  
made by insured's

customer service enhancements

Don't know?

Term 

113 of 552

The ordinance or law exclusion/limitation found in property policies such as the commercial property coverage, and in the homeowner policy have the following effect: /

Give this one a go later!

Montreal, Canada

auto and personal liability only

HO3



it excludes that part of the loss resulting from the enforcement of a building ordinance or law

Don't know?

Term 

114 of 552

In the business of insurance. The act of concealment is defined by all of the following statement EXCEPT

Give this one a go later!

concealment occurs only if intentional

concealment is irrelevant if the information is public



concealment does not occur if no inquiry is made

concealment is permissible if the insurer is aware of the facts

Don't know?

Term 

115 of 552

- Which of the following statements is true regarding the material of representations and concealment?

Give this one a go later!



it is determine by the affect of the facts on each party to the contract in determining his or her estimate of the disadvantages of the contract

office building 2 stories high and containing about 5,000 square feet

the insured being liable for a bodily injury to someone in the insured's immediate resident family

Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land

Don't know?

Term 

116 of 552

According to the CA insurance code a binder is deemed a valid insurance policy for the purpose of providing that the insurance coverage specified in the binder for each of the following types of insurance EXCEPT

Give this one a go later!

disability income insurance

auto insurance

✓ life insurance

disability insurance

Don't know?

Term 

117 of 552

A dwelling fire policy's coverage is to a homeowners policy, as a commercial property policy's coverage is to a:

Give this one a go later!

basic, broad and special

✓ business owners policy

pro basketball player

stock insurance companies

Don't know?

Term 

118 of 552

In a commercial lines program policy common policy condition do not include which of the following as a condition?

Give this one a go later!



Perils insured

Excluded under the earth movement exclusion

Excluded under the concurrent causation

Lost wages

Don't know?

Term 

119 of 552

What clause is commonly used to require's purchase insurance close to the value of the property

Give this one a go later!

Standard mortgage clause



Coinsurance clause

Subrogation clause

Appraisal clause

Don't know?



Term 

120 of 552

An insured's vehicle is stolen. Following this the insured rents a replacement vehicles for two months until her auto is repaired by the insurer. Will her personal auto policy pay for the cost of the rental, and if so how?

Give this one a go later!



the policy will pay all needed expense the insured incurs for the rental car to the stated limits found in the policy

Tort law

common policy declaration and conditions

business owners policy

Don't know?

Term 

121 of 552

The medical payments coverage found in a commercial general liability applies to which of the following categories of individuals

Give this one a go later!

these are all covered

makes carrying insurance of percentage of the building value advisable to avoid a possible

the insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%



the insured's customers who are in the process of transacting business on the insured's premises

Don't know?

Term 

122 of 552

Fred is named insured on a commercial property policy insuring a commercial building. Fred burns the building down and is convicted of arson. Fred's commercial property policy conditions state that:

Give this one a go later!

the concealed facts were not material, they would paid the claims anyways

the broadest coverage on any auto shown in the declarations

broadest coverage for any vehicle shown on the declarations



the mortgagee of the insured property can recover on this loss

Don't know?

Term 

123 of 552

An umbrella policy:

Give this one a go later!

generally represent only one insurer



provides broad excess liability coverage over one or more primary policies

physical damage, liability and medical payments

Amount to replace the damage property without a deduction for depreciation

Don't know?

Term 

124 of 552

Coverage part A of a commercial package policy, specifically inland

Give this one a go later!

collision coverage, comprehensive coverage, or specified peril coverage's

the insured regularly uses, at the permission of his employer, a company owned car and has an accident with the vehicle



marine coverage, includes coverage for all of the following types of property EXCEPT/ vehicles that are stored for the owner in a commercial public parking lot

the DOI require agents and brokers to maintain records of the compensation they receive for providing premium financing service for 3 years

Don't know?

Term 

125 of 552

RW and associates is an agency which represents BLG insurance corporation. RW and associates may leave the name BLG insurance corporation in its advertisements by clearly stating the relationship between the two business in any of the following ways ; EXCEPT

Give this one a go later!

RW And Associates partnered with BLG Insurance Corporation

RW And Associates authorized by BLG Insurance Corporation

RW And Associates endorsed by BLG Insurance Corporation

 RW And Associates underwriting for Blg insurance Corporation

Don't know?

Term 

126 of 552

Which of the following would be covered by the physical damage section of a personal auto policy?

Give this one a go later!

number of listed drivers

the named insured's( non-resident) spouse



none of these are covered

riot or civil commotion

Don't know?

Term 

127 of 552

All of the following would not be eligible for coverage under the California FAIR, EXCEPT

Give this one a go later!

excess liability coverage, on a broader basis, above an underlying primary policy



a home well taken care and is located in specially designated hazardous brush fire area

both personal activities and premises of the insured as well as any activates of the insured that occurs off the named premises

Other-than-collision coverage

Don't know?



Term 

128 of 552

Which of the following coverage's may you buy with a NAMED OPERATOR POLICY?(chose the most complete answer)

Give this one a go later!



liability, uninsured motorist,  
medical payments, collision  
and other than collision

liability, medical payments,  
collision, roadside assistance

liability, property damage,  
uninsured motorist, rental  
reimbursement

liability, collision, comprehensive,  
personal injury protection

Don't know?

Term 

129 of 552

How much coverage, if any, is available under HO3 for landlord's furninshgs?

Give this one a go later!



...\$2,500

collapse

amitted

\$37,500

Don't know?

Term 

130 of 552

Which of the following is an insurer's option when making a settlement with the insured under a personal auto policy?

Give this one a go later!

provide a rental car for the duration of the settlement process

replace the vehicle with a newer model



return stolen property to the address shown in the policy

repair the damaged property at the insurer's facility

Don't know?

Term 

131 of 552

Where do most states require insurers to file policy forms?

Give this one a go later!

the guaranty association

✓ the insurance department

the independent insurance  
association of america

the state

Don't know?

Term 

132 of 552

The amount to replace property with "like property of the same quality and construction" is the properties

Give this one a go later!

There is no difference

Stated value

Assessment value

✓ Replacement value

Don't know?

Term 

133 of 552

A policy called "builder's risk" would be found in which of the following circumstances

Give this one a go later!

it provides the convenience of one policy for all exposures and risk

none

Absolute liability



building in the process of being constructed

Don't know?

Term 

134 of 552

- For more serious offenses and conviction an application for a license can be denied without a hearing which of the following circumstances would allow for an application to be denied for an insurance license WITHOUT A HEARING

Give this one a go later!

the applicant for the insurance has failed to pass the licensing exam multiple times

the applicant for the insurance has a minor traffic violation on record

the applicant for the insurance has had a previous license suspended for cause within the past year



the applicant for the insurance has had no previous license denied for cause with previous 5 years

Don't know?

Term 

135 of 552

What is one of the principle rating factor under proposition 103 allowed for personal auto polices?

Give this one a go later!



safety driving record

make of the auto

number of listed drivers

number of miles driven annually

Don't know?



Term 

136 of 552

All of the following are considered an uninsured motor vehicle according to policy definitions found in a personal auto policy, EXCEPT

Give this one a go later!

notice must be sent with return receipt required

organized, chartered, or incorporated under the law of state of California

does not have the authority to collect premiums from producing broker agents.

✓ A vehicle that is self-insured because it is owned by a state agency

Don't know?

Term 

137 of 552

Why would an insured want to use HO3 policy instead of dwelling policy?

Give this one a go later!

riot or civil commotion

Neither of these apply



broader coverage is needed  
by the insured

suspend the agent's license

Don't know?

Term 

138 of 552

In the state of CA no rate will remain in effect if it is considered to be any of the following except

Give this one a go later!

procedural

organized, chartered, or  
incorporated under the law of  
state of california

accurate

✓ impartial

Don't know?

Term 

139 of 552

What right does an insurer have as far as auditing the books and records of an insured according to the conditions of a commercial property policy?

Give this one a go later!



perform an audit while policy is in force & up to three after expiration or termination of policy

when less than 31% of the building space is rented to other or in use by the insured

expense of repairing a neighbor's wall, surrounding a garden, that Jackie accidentally backed through

there is coverage, but only for the damage caused by the ensuing fire and explosion

Don't know?

Term 

140 of 552

The phrase "80% coinsurance" in the commercial property field refers to:

Give this one a go later!

it transact insurance according to laws of the state of California

the insured regularly uses, at the permission of his employer, a company owned car and has an accident with the vehicle

✓ the insured must maintain insurance coverage equal to 80% of the value of the property as well as receiving a lower premium; otherwise a coinsurance penalty will be imposed in the event of a loss

the insurance department

Don't know?

Term 

141 of 552

Named insured on a commercial insurance policy is "sam stone and dan Sullivan DBA S&S bar and grill" if the insurer cancels the policy, they are required to mail or deliver written notice to

Give this one a go later!

The insured

An endorsement

All-risk or open peril

✓ Only sam stone

Don't know?

Term 

142 of 552

An insured has a personal auto policy and did not pay the initial insurance premium when it due. The insurer cancels the policy for non- payment. How much days' notice must the insure give?

Give this one a go later!



10 days

30 days

5 days

15 days

Don't know?

Term 

143 of 552

What must a life agent travel agent, or fire and casualty insurance agent do in order to act as an agent of a particular insurer?

Give this one a go later!



file a notice of appointment  
with the commissioner

complete a certification with the  
state bar association

obtain approval from the insurer's  
board of directors

file a notice of termination with  
the commissioner

Don't know?



Term 

144 of 552

The PAP collision deductible is \$1000 and other than collision deductible is \$500. How much would the insurer pay for an accident involving the overturn of one vehicle resulting in \$2000 of damage

Give this one a go later!



\$1000

\$1500

\$500

\$1200

Don't know?

Term 

145 of 552

The personal auto policy" coverage for damage to your own automobile" states that the limit of liability is lesser of the amount necessary to repair or replace the property or the:

Give this one a go later!

maintaining the best interest of  
customers first and foremost

prior approval method



actual cash value of the  
stolen or damaged property

the broadest coverage on any  
auto shown in the declarations

Don't know?

Term 

146 of 552

Under an unendorsed personal auto policy, transportation expense coverage applies to

Give this one a go later!

collision and other than collision losses

none, there is no coverage

other than collision losses only

✓ theft only losses

Don't know?

Term 

147 of 552

A reduction in value of property that results immediately from damage to the property is know as

Give this one a go later!



Direct loss

Subrogation

Indirect loss

Other collision

Don't know?

Term 

148 of 552

Which homeowners form is best for use on a brand- new single family dwelling?

Give this one a go later!

additional living expense

...\$2,500

all of these are covered

✓ HO5

Don't know?

Term 

149 of 552

The personal property coverage part of an unendorsed HO3 form covers which of the following/

Give this one a go later!

liability, uninsured motorist, medical payments, collision and other than collision

"all risks", coverage applies to real property , broad form named perils  
coverage applies to personal property

liability coverage for watercraft listed on the schedule

✓ damage to the insured's living room furniture that is result of the  
furniture being removed from the insured premise to prevent it from  
further damage after a covered fire at the same premises

Don't know?

Term 

150 of 552

What do the initials S.t.A.R.R represent?

Give this one a go later!

Personnel loss exposure



Methods of risk  
management

Conditions

Worker' compensation

Don't know?

Term 

151 of 552

Under a personal umbrella policy, what underlying coverage's must an insured typically maintain?

Give this one a go later!



auto and personal liability  
only

possible fraudulent claims made  
by insured's

HO3

\$30,000

Don't know?



Term 

152 of 552

Which of the following does not have a standard coverage form?

Give this one a go later!

Worker' compensation

collapse

Weight of contents

✓ umbrella policy

Don't know?

Term 

153 of 552

The water damage exclusion in the cause of loss- special for applleies to all athe following, EXCEPT:

Give this one a go later!

umbrella policy

plumbing system leakage

Personnel loss exposure

✓ plubing system leakage

Don't know?

Term 

154 of 552

When may a representation be withdrawn?

Give this one a go later!

once the insurance claim is filed

after the insurance is in effect



only before the insurance is  
in effect

during the policy renewal period

Don't know?

Term 

155 of 552

Under a personal auto policy(PAP), how would the damage sustained to an insured vehicle as the result of an earthquake be covered?

Give this one a go later!

when the insurance company representative signs the notice of appointment

greater number of smaller claims sent to the insurer

✓ under the other- than- collision section of the policy

license number of hit and run vehicle

Don't know?

Term 

156 of 552

A private passenger vehicle is added to an insurance policy. The CA insurance code

Give this one a go later!

smoke damage from industrial operations



make no mention of vehicle inspection requirement

liability coverage for watercraft listed on the schedule

the insured desires broader coverage

Don't know?

Term 

157 of 552

An insured living in California has the following coverage's under PAP: with liability, medical payments, and loss other than collision. The individual vehicle is stolen from her driveway and then totally wrecked. Which of the following cover this loss?

Give this one a go later!



other than collision  
coverage

broadest coverage for any  
vehicle shown on the declarations

coverage C broad named perils

excess and surplus lines insurer

Don't know?

Term 

158 of 552

If an insured purchased an all-terrain vehicle(ATV), what endorsement can be added to the personal auto policy to insure the vehicle?

Give this one a go later!

special provisions endorsement

motor home endorsement

auto loan/lease coverage  
endorsement



miscellaneous type vehicle  
endorsement

Don't know?

Term 

159 of 552

Damaged caused by burglary of personal property is not covered under which dwelling form(except by endorsement)

Give this one a go later!

business income insurance



basic form

Rate-making

Liability loss exposure

Don't know?



Term 

160 of 552

In a commercial property the insurance claim is denied because of the insured action's. the mortgage holder will in most cases.,

Give this one a go later!

Have the claim transferred to another party

Lose the right to any payment



Still have right to receive the full amount of the loss a payment

Receive only a partial payment

Don't know?

Term 🔊

161 of 552

- When does the license of a fire and casualty broker- agent become inactive?

Give this one a go later!



when the broker/agent has no appointment with any insurance company, but licensing renewal fee have paid and CE requirement have been met

when the broker/agent transfers their license to another state, but maintains an appointment with an insurance company

when the broker/agent fails to pay licensing fees, but has an appointment with an insurance company

when the broker/agent does not meet continuing education requirements, but has paid licensing fees

Don't know?

Term 

162 of 552

all of the following are requirements for a notice by mail to an insured by insurer except

Give this one a go later!



notice must be sent with  
return receipt required

notice must be acknowledged by  
the insured

notice must be sent via certified  
mail

notice must be delivered in  
person

Don't know?

Term 

163 of 552

Which of the following coverage's may you buy with a named non-owner liability policy?(choose the most complete answer)

Give this one a go later!

none

license number of hit and run vehicle



liability and medical

liability, uninsured motorist, medical payments, collision and other than collision

Don't know?

Term 

164 of 552

the state laws that regulate insurer practice regarding underwriting sales, rate-making, and claims handling are called,

Give this one a go later!



market conduct regulation

risk classification regulation

solvency surveillance regulation

financial solvency regulation

Don't know?

Term 

165 of 552

To be covered for a hit and run accident under the uninsured motorist property damage coverage of a PAP, what is required to be provided to the insurer

Give this one a go later!

description of the hit and run vehicle's make and model



license number of hit and run vehicle

name of the driver in the hit and run vehicle

insurance policy number of the hit and run vehicle

Don't know?

Term 

166 of 552

What would an insurer likely pay if the following were the details surrounding an accident for which the insured was at fault and had bodily injury policy limits of \$25,000 per person and \$50,000 per occurrence? Three people injured: #1-\$11,000, #2-\$26,000 and #3-\$12,000

Give this one a go later!

promise

insolvent

Underwriting

✓ \$48,000

Don't know?

Term 

167 of 552

The products and completed operations hazard would apply to which of the following situations

Give this one a go later!



bodily injury to a customer  
as the result of a defective  
manufactured by the insured

automobiles while kept for the  
owner in a commercial parking  
garage

someone shoots Dick's car rear  
window while the car is parked on  
the street overnight

they may not use race color,  
religion, or national origin as  
condition to use higher rate

Don't know?



Term 

168 of 552

Items that are paid on replacement cost is defined as the

Give this one a go later!

Amount to repair the damaged property with depreciation

Market value of the property at the time of loss



Amount to replace the damage property without a deduction for depreciation

Original purchase price with depreciation

Don't know?

Term 

169 of 552

The best definition of the term "collision" as found in a personal auto policy is which of the following?

Give this one a go later!

If there is a loss resulting from two or more perils that occur at the same time to cause a loss then is no coverage is any of the perils are excluded

the approximate dollar amount of an insurer's liability of at least one (or more) open claims

Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land



hitting any other vehicle or object with the insured vehicle, or the upset of the insured vehicle

Don't know?

Term 

170 of 552

Under abuilding and personal property coverage form, if the insured has been vacant for more than 60 consecutive days. What effect will this have on vandalism loss

Give this one a go later!

Personnel loss exposure

Neither of these apply

the producer is a surplus lines broker

✓ the loss is excluded

Don't know?

Term 

171 of 552

All of the following loss exposures are covered under the liability section of a homeowner's policy, EXCEPT

Give this one a go later!

makes carrying insurance of percentage of the building value advisable to avoid a possible

✓ the insured is using his new personal auto, fully registered and licensed, on his premises which includes a large parcel of undeveloped land

the increased expense incurred for the insurer to repair or rebuild property according to building code specification

jewelry, fur, musical instrumental, and camera for dollar value amounts decided by the insurer

Don't know?

Term 

172 of 552

The type of homeowners contract that should be considered and then purchased by one of your prospective insured's, who is a tenant renting 2,500sq foot 2 story house is which of the following

Give this one a go later!

actual cash value of the damaged or stolen property

✓ HO4

Only san stone

named non-owner coverage endorsement

Don't know?

Term 🔊

173 of 552

• All of the following are characteristic of ideally insurable loss exposure EXCEPT:

Give this one a go later!

large number of exposure units

large number of similar exposure units

✓ losses that are catastrophic

losses that are definite and measurable  
4 large number of exposure units

Don't know?

Term 

174 of 552

What steps need to taken to terminate a licensee's license that is in the possession of an employer?

Give this one a go later!

the licensee must surrender the license to the employer

the employer needs to notify the insurance commissioner

the insurance commissioner automatically terminates the license



the licensee needs to give written notice of intent to the insurance commissioner

Don't know?

Term 

175 of 552

What is the limit per day for a transportation expense in an unendorsed personal auto policy in the event of theft, after it is reported and automobile is not returned within 48 hours of theft

Give this one a go later!

✓ \$20

\$50

\$10

\$30

Don't know?



Term 

176 of 552

Which of the following would be considered special damages?

Give this one a go later!



Lost wages

Pain and suffering

Damaged property

Loss of an index finger

Don't know?

Term 

177 of 552

The personal auto policy territory limits include

Give this one a go later!

or B of the commercial general liability (CGL) contract contains coverage for: advertising injury

someone paid to transact insurance on behalf of another person, but not on behalf of the insurer

transact business only with non admitted insurers



Montreal, Canada

Don't know?

Term 

178 of 552

The watercraft endorsement on homeowners policy extends coverage for

Give this one a go later!

\$80,000 on the dwelling; \$16,000 garage

a private passenger auto owned by a partnership

commercial general liability



liability coverage for watercraft listed on schedule

Don't know?

Term 

179 of 552

What additional coverage's are available under the scheduled personal property endorsement that is not available under an unendorsed homeowners policy?

Give this one a go later!

the insured desires broader coverage



breakage of glassware by an earthquake

Excluded under the concurrent causation

under the other- than-collision section of the policy

Don't know?

Term 

180 of 552

Which of the following types of businesses could utilize a business owners policy?

Give this one a go later!



office building 2 stories high  
and containing about 5,000  
square feet

liability and medical

The structure that is exposed a  
loss, the perils that may occur,  
consequently causing a loss  
possible financial impact of loss

return stolen property to the  
address shown in the policy

Don't know?

Term 

181 of 552

• In the state of California how is a domestic insurer defined according to the California DOI code?

Give this one a go later!

organized in another state

incorporated under international law

✓ organized, chartered, or incorporated under the law of state of California

chartered under federal law

Don't know?

Term 

182 of 552

An employee is operating their own car for their employer. The individual injures a person in a area as result of negligent driving. The reson why the employer would be held liable is because of which of the following?

Give this one a go later!

Gross negligence

Contractual liability

Absolute liability

✓ Vicarious liability

Don't know?

Term 

183 of 552

A homeowners policy that includes a "scheduled personal property endorsement " provides coverage which of the following?

Give this one a go later!



jewelry, fur, musical  
instrumental, and camera for  
dollar value amounts  
decided by the insurer

the professional designation  
"CPCU" is acceptable following  
the name of any fire and casualty  
underwriter

the claim would be paid under  
"other-than-collision" coverage

insurance company and/ or the  
first named insured in the policy

Don't know?



Term 

184 of 552

What endorsement can be used to insure a motorcycle under a personal auto policy?

Give this one a go later!



miscellaneous type vehicle endorsement

perils insured against under coverage C

Liability loss exposure

riot or civil commotion

Don't know?

Term 

185 of 552

What items of personal property are included in a coverage A under HO3 policy

Give this one a go later!

return stolen property to the address shown in the policy



paint on the premises to be applied to the interior

must hold a permanent license

theft of stock from the business, owned by the policyholder, by an employee

Don't know?

Term 

186 of 552

The theft of the insured would be covered under

Give this one a go later!

✓ physical damage coverage

the uncertainty of a loss

losses that are catastrophic

does not have a time nor a dollar limit

Don't know?

Definition 

187 of 552

liability coverage for watercraft listed on schedule

Give this one a go later!

What type of homeowners's policy provides open peril coverage?

In the state of CA no rate will remain in effect if it is considered to be any of the following except



The watercraft endorsement on homeowners policy extends coverage for

The personal auto policy territory limits include

Don't know?

Term 

188 of 552

What is the difference between per accident limit in a split limits policy and single limits

Give this one a go later!

coverage C broad named perils

✓ there is no difference

the loss is excluded

Coinsurance clause

Don't know?

Term 

189 of 552

The execution of a policy involves which of the following?

Give this one a go later!

cancelling a policy



signing a covering note

discussing policy limits with client

sending the propect an email  
suggesting that they buy a certain  
type of policy

Don't know?

Term 

190 of 552

Who is considered the first party to an insurance contract

Give this one a go later!

The beneficiary

✓ The insured

The spouse of the policyowner

The owner of the shop

Don't know?

Term 

191 of 552

The process where by a mutul insurer becomes a stock company is called

Give this one a go later!



Demutalization

Reorganization

Underwriting

Subrogation

Don't know?



Term

192 of 552

Coverage for personal property under an HO4 with no deductible. Provide coverages for personal property for the insured while vacationing in Europe: the bed and breakfast inn. The hotel they are staying at burns down, the insured's clothing and suitcase are destroyed from the fire: clothing and suitcase--\$ 20,000 (replacement cost), jewelry--\$ 20,000(replacement cost). Additionally , all of this property has depreciated by 20% in value. What will the insurer pay under this policy?

Give this one a go later!



\$32,000

collapse

Lost wages

basic, broad, and special

Don't know?

Term 

193 of 552

Which of the following combinations of characteristics should be considered when making a an insurance recommendation to a propective insured that has just purchased a new office building?

Give this one a go later!



The structure that is exposed a loss, the perils that may occur, consequently causing a loss possible financial impact of loss

The occupancy rate, the maintenance costs, the zoning regulations

The size of the building, the type of construction, the rental income potential

The location of the building, the age of the structure, the market value of the property

Don't know?

Term 

194 of 552

What is the limit for sound reproducing equipment under the coverage endorsement for excess sound reproducing equipment, audio, visual and data electronic, tapes , record, disks and other media

Give this one a go later!

HO6

✓ \$200

10 days

The agent's permanent license becomes inactive

Don't know?

Term 

195 of 552

Under a standard (ISO)HO3, real property and personal property are covered for the perils on

Give this one a go later!

it transact insurance according to laws of the state of California

to the premises described and to the personal activities of the insured's on or off of the premises

requires physical signs of forcible entry or exit

✓ "all risks", coverage applies to real property , broad form named perils coverage applies to personal property

Don't know?

Term 

196 of 552

This statement that is true regarding medical expense coverage in a worker's compensation policy is

Give this one a go later!

no because each company want the ability to establish their own pricing

✓ it contains an unlimited amount of coverage for both time and dollar amount

liability, uninsured motorist, medical payments, collision and other than collision

bodily injury to a customer as the result of a defective manufactured by the insured

Don't know?

Term 

197 of 552

- How is an "insurance broker" defined according to the California insurance code?

**Give this one a go later!**

a consultant who advises on insurance matters without selling policies

✓ an individual who receives compensation for transacting insurance on behalf of another person, but not on behalf of an insurance company

an agent who transacts insurance on behalf of multiple insurers

an individual who works solely for an insurance company

**Don't know?**

Term 

198 of 552

In a claims-made commercial general liability policy, which of the following begins when the policy period ends, and is activated when the policy is cancelled or not renewed?

Give this one a go later!

the neighbor's policy is primary and the driver's policy is excess

the policy automatically provides the higher necessary limits without an extra premium



basic extended reporting period

Damage for breach, reasonable attorney fee and cost

Don't know?

Term 

199 of 552

Your insured has a personal auto policy that provides medical payment coverage \$2000. Of the following statements, which is true regarding the amount payable under this section of the policy?

**Give this one a go later!**

the DOI require agents and brokers to maintain records of the compensation they receive for providing premium financing service for 3 years



the insured is car- pooling to work with her neighbor when they are in an accident. Both are injured and incur almost \$3000 each in medical expenses. The insured and her neighbor would each be paid \$2000 from the policy

the driver's license of the individual who usually operated the vehicle that is insured by the policy and who is insured by the policy has had his licenses suspended

these are all covered in addition to the limits stated in the policy contract

**Don't know?**



Term 

200 of 552

What does the California FAIR plan provide coverage for?

Give this one a go later!

dwelling, other structures, and  
personal property

the spouse of the insured (not  
living in the same residence)

✓ homes located in a  
hazardous brush or high risk  
urban areas

impartial

Don't know?

Term 

201 of 552

- With respect to premium finance compensation service which statement are /is true

**Give this one a go later!**

the DOI requires agents and brokers to maintain records of the compensation they receive for providing premium financing service for 5 years

the DOI does not require agents and brokers to maintain records of the compensation they receive for providing premium financing service

✓ the DOI require agents and brokers to maintain records of the compensation they receive for providing premium financing service for 3 years

the DOI requires agents and brokers to maintain records of the compensation they receive for providing premium financing service for 1 year

**Don't know?**

Term 

202 of 552

A policy may not be transferred to another without

Give this one a go later!



Written consent of the insured

Implied consent of the insured

Verbal agreement of the insured

Notification to the insurer only

Don't know?

Term 

203 of 552

How can as insured ensure that she has protection against possible claims for libel, slander, and false arrest under an HO3 policy?

Give this one a go later!

farming or ranching

the insured desires broader coverage



by adding a personal injury endorsement

there is no appreciable difference

Don't know?

Term 

204 of 552

Why would an employer be held legally liable for the negligent operation by employee who is driving a vehicle on behalf of the employer and cause an injury to a pedestrian

Give this one a go later!

The principle of direct liability

The rule of independent contractor responsibility

The doctrine of employer negligence



The principle of vicarious liability

Don't know?

Term 

205 of 552

for any type of risk exposure to be considered an ideally insurable risk which of the following characteristics does not have to exist , there is very little

Give this one a go later!

frequent claims during the policy period

detailed documentation of past losses

a high probability of loss occurring

✓ if any chance a loss happening during the policy period

Don't know?

Term 

206 of 552

a person can base his/her claim for liability on the basis of all of the following EXCEPT

Give this one a go later!

lost wages

breach of contract

termination of key employee

✓ breach of liability

Don't know?

Term 

207 of 552

Which are the characteristics of negligence

Give this one a go later!

Losses that are catastrophic



Duty, breach, proximate  
cause, damages

Disability, death, sickness, of  
valuable employee, Personnel  
loss exposure

Financial loss

Don't know?



Term 

208 of 552

A hoe is damags two hours after an earthquake, first by fire and then by fuel pipes burting and causing an explosion. Under a homeowner's HO3 form:

Give this one a go later!



there is coverage, but only for the damage caused by the ensuing fire and explosion

it transact insurance according to laws of the state of California

wheter the rate mathematically reflects the insurance company's investment income

There is no difference

Don't know?

Term 

209 of 552

Which of the following is not an uninsured motor vehicle as defined by personal auto policies uninsured motorist coverage?

Give this one a go later!

liability coverage for watercraft listed on schedule

the insured's customers who are in the process of transacting business on the insured's premises



a vehicle owned by state agency which self-insures its auto

these are all covered

Don't know?

Term 

210 of 552

The term "proximate cause" is best defined by which of the following?

Give this one a go later!

An accidental event with no direct cause

✓ A negligent act that causes bodily injury or property damage that follows a sequence of uninterrupted, but related chains of events

A deliberate act that causes immediate property damage

A natural disaster leading to unavoidable loss

Don't know?

Term 

211 of 552

What additional coverage is provided in DP3 that is not included in DP1?

Give this one a go later!

Mutalization

breakage of glassware by an earthquake

✓ collapse

Lost wages

Don't know?

Term 

212 of 552

Business auto policies(BAP) Contain which of the following combinations of physical damage coverage's

Give this one a go later!

other vessels that receive collision damage from the insured vessel

not limited for either the time and/or the dollar amount

of profits due to suspension of business operations because of a premises fire



collision coverage, comprehensive coverage, or specified peril coverage's

Don't know?

Term 

213 of 552

What des ocean marine hull insurance cover?

Give this one a go later!



the vessel itself

the perils insured against

Auto accident

additional living expenses

Don't know?

Term 

214 of 552

What is the primary difference between a HO2 and HO3 policy?

Give this one a go later!

Compensation for time away from work

✓ the perils insured against

Personal loss exposure

Weight of contents

Don't know?

Term 

215 of 552

In reference to the coverage's provided in basic form, the boat owners policy is similar to what other policy?

Give this one a go later!

plumbing system leakage

✓ the personal auto policy

number of listed drivers

professional athletes and coaches

Don't know?



Term 

216 of 552

Thomas fry has insured a building under his commercial policy. The building was vacant for 75 consecutive days before a loss. The policy will not pay for the loss if caused by the perils of

Give this one a go later!

Vicarious liability

the mortgagee of the insured property can recover on this loss



building glass breakage and vandalism

the first named insured

Don't know?

Term 

217 of 552

What does a "pure risk" consist of ?

Give this one a go later!

the insured desires broader coverage

Stock insurance companies

✓ The chance of loss only

coverage C broad named perils

Don't know?

Term 

218 of 552

Who has the right to request cancellation of a commercial lines policy

Give this one a go later!



the first named insured and  
the insurer

theft

termination of key employee

sending the propect an email  
suggesting that they buy a certain  
type of policy

Don't know?

Term 

219 of 552

Which of the following is the reason that an insured should not be making any kind of profit as the result of an insurance claim/loss being paid but rather, the payment should restore the insured to the financial status that existed prior to the loss with no chance of any type of profit.,

Give this one a go later!

Law of supply and demand

Law of large numbers

✓ Basic principle of insurance

Written consent of the insured

Don't know?

Term 

220 of 552

All of the following are requirements for a notice by mail to an insured by an insurer EXCEPT

Give this one a go later!

notice must be acknowledged by the insured



notice must be sent with return receipt required

notice must be sent via certified mail

notice must be delivered in person

Don't know?

Term 

221 of 552

If an insured with a personal auto policy has an accident in a state with personal injury protection, how does the policy respond?

Give this one a go later!



coverage automatically is broadened to provide PIP

a homeowner decides not to install a pool in the backyard

named non-owned liability coverage

notice must be sent with return receipt required

Don't know?

Term 

222 of 552

A representation in an insurance contract qualifies as which of the following?

Give this one a go later!

an express warranty

✓ an implied warranty

an amendment

an absolute fact

Don't know?

Term 

223 of 552

The collision coverage of the personal auto policy does not cover the following loss situations; EXCEPT

Give this one a go later!

be caused by an insured peril, otherwise there is no coverage

the applicant has previously has a licenses application denied for cause within the past five years



large limbs and branches of a tree that have fallen into the street as a result of a windstorm. The insured collides with them

the materiality of any information in this regard is determined by the influence of the fact on each party in determining their estimates of the disadvantages of the proposed contract

Don't know?



Definition 

224 of 552

When there is negligence whether proven or not

Give this one a go later!

A person can base his/her claim for liability on the basis of all of the following EXCEPT

Under tort law a corporation can be subject to a claim for legal liability on the basis,

Laura is driving her own car on behalf of her employer laura's negligent operation of her car injures a member of public. The employer may be held liable because of what is called.,

✓ Absolute risk(liability) is imposed

Don't know?

Term 

225 of 552

Under California financial responsibility law the minimum financial responsibility for accidents that involve several people injured in one accident, is

Give this one a go later!

\$10,000

\$50,000

✓ \$30,000

\$15,000

Don't know?

Term 

226 of 552

Which of the following is also know as a human loss exposure

Give this one a go later!

Liability loss exposure

Financial loss exposure

✓ Personal loss exposure

Worker's compensation exposure

Don't know?

Term 

227 of 552

What exactly does a policy know as "open peril" protect against

Give this one a go later!

Perils specifically named as  
inclusions in the policy

Perils listed as mandatory  
exclusions in the policy



Perils not specially named  
as exclusions in the policy

Perils covered only by additional  
riders

Don't know?

Term 

228 of 552

Under a personal auto policy. If a newly acquired auto is to replace the covered auto with liability coverage only, how long does the insured have to request collision coverage?

Give this one a go later!

subrogation

\$150,000

Excluded under the concurrent causation

✓ 4 days

Don't know?

Term 

229 of 552

A is an accident with B. A suffer\$10000 of damage but it is determined that A is 25% responsible for accident. how much would a receive under COMPARATIVE negligence rules

Give this one a go later!

☒ \$7500

Don't know?

Term 

230 of 552

## How are the HO3 and HO5 Similar?

Give this one a go later!



both provide open peril  
coverage for the dwelling

the broadest coverage on any  
auto shown in the declarations

additional cost necessary to make  
a restroom ADA compliant

When there is negligence  
whether proven or not

Don't know?

Term 

231 of 552

All of the following expenses are covered in addition to the limits of a liability under coverage a of a personal auto policy except

Give this one a go later!

Vancouver,Canada

insured risk and peril

✓ pre judgment

notice must be sent with return  
receipt reuired

Don't know?



Term 

232 of 552

What type of insurance company is owned by individuals that are stockholder in the company; and share in the profits of the company?

Give this one a go later!

Mutual insurance companies



Stock insurance companies

Bond insurance companies

Captive insurance companies

Don't know?

Term

233 of 552

What would be the most optimal way to be sure your client, the owner of a commercial auto policy, would be able to obtain liability coverage exposures resulting from employee using their own vehicles in your client's business? To obtain liability coverage exposures resulting from employees using their own vehicle in your client's business?

Give this one a go later!



purchase employer's non-ownership liability coverage in the commercial auto policy

the licensee needs to give written notice of intent to the insurance commissioner

only if an endorsement is attached to the policy and comes from the insurer

If there is a loss resulting from two or more perils that occur at the same time to cause a loss then is no coverage is any of the perils are excluded

Don't know?

Term 

234 of 552

Coverage under a comprehensive personal liability policy or a homeowners section 2 extends:

Give this one a go later!

when the broker/agent has no appointment with any insurance company, but licensing renewal fee have paid and CE requirement have been met

✓ to the premises described and to the personal activities of the insured's on or off of the premises

excess liability coverage, on a broader basis, above an underlying primary policy

If there is a loss resulting from two or more perils that occur at the same time to cause a loss then is no coverage is any of the perils are excluded

Don't know?

Term 

235 of 552

The broadest form of crime coverage is:

Give this one a go later!

the special form

HO4

guard dog

✓ theft

Don't know?

Term 

236 of 552

Medical payment coverage in boat owners policy cover injuries to:

Give this one a go later!



permissive occupants of the insured's boat

covered as an other-than-collision loss

automobiles while kept for the owner in a commercial parking garage

the exclusion for care, custody and control

Don't know?

Term 

237 of 552

The phrase "aggregate limit" is found and defined in a commercial general liability policy. Which of the these is true about this limit?

Give this one a go later!

it is liability coverage, on an excess basis , provided for losses that occur in Mexico, within 25 miles of the California/Mexico international border

✓ this limit could reduce the products and completed operations

the minimum liability for CAARP policies are 15000/30000/5000

less depreciation, is know as the, Actual cash value

Don't know?

Term 

238 of 552

What must an insurer do who accept from an agent who is not specifically appointed by the insurer and then issues a policy from that application

Give this one a go later!

reject the application and return it to the agent immediately

file a complaint with the insurer within 7 days of receipt of application

ignore the application as it was not submitted by an appointed agent

✓ forward to the commissioner a notice of appointment with 14 days of receipt of application.

Don't know?

Term 

239 of 552

If an insured rents vehicle while on vacation in the U.S, what coverage is provided under the personal auto policy?

Give this one a go later!



all coverage is in force in the personal auto policy

customers being on the insured's premises

An estimate or the amount that the insurer will pay

Still have right to receive the full amount of the loss a payment

Don't know?



Term 

240 of 552

Which exclusion in the "causes of loss-special form" excludes coverage for mudflow

Give this one a go later!

Weight of contents

collapse

Toronto,Canada

✓ water(flood)

Don't know?

Term 

241 of 552

What is the primary difference between umbrella and excess liability policies/

Give this one a go later!



the umbrella covers most liability exposure; the excess liability will cover only one line

none of these are excluded from the power and authority given to fire and casualty managing general agent

Liability loss exposure

theft of stock from the business, owned by the policyholder, by an employee

Don't know?

Term 

242 of 552

JAE Computer Company is being sued by Stack Company for an advertising campaign stack computer feels false and misleading. JAE company would find coverage for losses which could result from this lawsuit under which category of insurance:

Give this one a go later!

requires agents to keep records of any compensation they may have received for their services involved with premium financing

the repair expenses that are needed to fix the damage to neighbor's fence that was the result the insured negligently driving through it while driving unsafely

jewelry, fur, musical instrumental, and camera for dollar value amounts decided by the insurer

☒ commercial general liability

Don't know?

Term 

243 of 552

Which of the following perils is covered by a "causes of loss-basic form"?

Give this one a go later!



riot or civil commotion

Other collision

the named insured's( non-resident) spouse

business income insurance

Don't know?

Term 

244 of 552

Which party is allowed to cancel a commercial policy (assuming all legal requirements are met?)

Give this one a go later!

does not included the products-completed operation aggregate limit

Conditions



insurance company and/ or the first named insured in the policy

dwelling, other structures, and personal property

Don't know?

Term 

245 of 552

Which of the following coverage's is a property insurance coverage.

Give this one a go later!

Direct loss

✓ Other collision

Personal loss exposure

Riot or civil commotion

Don't know?

Term 

246 of 552

All of the following are parties to surety bond, EXCEPT

Give this one a go later!

the perils insured against

inherent defect

✓ bondsman

Personal loss exposure

Don't know?

Term 

247 of 552

The amount to replace an insured's damaged property

Give this one a go later!

Replacement value without depreciation

Original cost plus appreciation



less depreciation, is know as the, Actual cash value

Market value at the time of loss

Don't know?



Term 

248 of 552

A personal auto policy (PAP) insured's car was a total loss when the car was stolen and wrecked. The insured has the following coverage: liability, medical payments, and "other than collision". Her PAP

Give this one a go later!



"other than collision" will pay for the loss

all coverage is in force in the personal auto policy

medical payments will cover the loss

liability will pay for the loss

Don't know?

Term

249 of 552

There is a "changes" condition found in a commercial lines policy that says that the policy has within it all the agreements between the insured and the insurer regarding the insurance that is being provided. Additionally, this condition further provides that the policy terms can be waived or amended by which of the following terms?

Give this one a go later!

actual cash value of the damaged or stolen property

collision coverage, comprehensive coverage, or specified peril coverage's

to encourage insured's to purchase coverages near the value of the property



only if an endorsement is attached to the policy and comes from the insurer

Don't know?

Term 

250 of 552

The part of the policy that states the amount of coverage the insured property policy period is

Give this one a go later!



Declaration

Warranty

Bylaws

Articles Of Incorporation

Don't know?

Term 

251 of 552

What course of action does a party to a contract have if the other party is found to be breach of that contract

Give this one a go later!

Mediation with no compensation



Damage for breach,  
reasonable attorney fee and  
cost

Termination of contract without  
recourse

Negotiation with no legal fees

Don't know?

Term 

252 of 552

what of the following is not considered an intentional tort?

Give this one a go later!

Fire damage to a building

Murder



Auto accident

Explosion

Don't know?

Term 

253 of 552

Why is a newly acquired motorcycle not automatically covered under the terms and conditions of a personal auto policy?

Give this one a go later!

the insured desires broader coverage

theft of stock from the business, owned by the policyholder, by an employee

it must be the result of a peril that is insured under the policy, otherwise there will be no coverage

✓ these types of vehicles (motorcycles, and other types of non-automobiles) are not covered under a personal auto policy that is unendorsed

Don't know?

Term 

254 of 552

Ordinance or law coverage provides protection which of the following losses

Give this one a go later!

these are all covered

\$80,000 on the dwelling; \$16,000 garage



the increased expense incurred for the insurer to repair or rebuild property according to building code specification

makes carrying insurance of percentage of the building value advisable to avoid a possible

Don't know?

Term 

255 of 552

One difference between a robbery peril and burglary peril is that he burglary peril:

Give this one a go later!

make no mention of vehicle  
inspection requirement

claims also covered by personal  
auto policy medical payment

✓ requires physical signs of  
forcible entry or exit

insurance solicitor

Don't know?



Term 

256 of 552

One example of a loss covered by business income insurance is a loss:

Give this one a go later!

a well- maintained dwelling  
located in a hazardous brush area

the approximate dollar amount of  
an insurer's liability of at least one  
(or more)open claims

provides broad excess liability  
coverage over one or more  
primary polcies



of profits due to suspension  
of business operations  
because of a premises fire

Don't know?

Term 

257 of 552

the amount paid for property damage which is equal to price for which it could have sold is

Give this one a go later!



market value

book value

stated amount

assessed value

Don't know?

Term 

258 of 552

In a commercial property policy, which causes of loss includes coverage for the peril of glass breakage?

Give this one a go later!

basic, broad, and special

✓ the broad and special form

the insured's customers who are in the process of transacting business on the insured's premises

the increased expense incurred for the insurer to repair or rebuild property according to building code specification

Don't know?

Term 

259 of 552

Which of the following loss exposures is not covered by section 2 of Ron's homeowners policy?

Give this one a go later!

liability, uninsured motorist,  
medical payments, collision and  
other than collision

✓ Ron's registered/ licensed  
personal auto while used on  
his own property which  
includes 10 acres of  
undeveloped land

broader coverage is desired

There is an equal exchange of  
amounts or values within the  
contract

Don't know?

Term 

260 of 552

Which of the following is not only reason that an insurer can cancel an automobile insurance policy?

Give this one a go later!

Perils other than those specifically named as being excluded

collapse



the driver's license of the individual who usually operated the vehicle that is insured by the policy and who is insured by the policy has had his licenses suspended

does not have the authority to collect premiums from producing broker agents.

Don't know?

Term 

261 of 552

What is the minimum number of days that an insurer must give an insured, prior to canceling a policy for non-payment?

Give this one a go later!

✓ 10 days

\$37,500

the perils insured against

the identical coverage limits to  
that of coverage personal  
property on the premises

Don't know?

Term 

262 of 552

With regards to insurance applicability the word "risk" can be best defined as which of the following?

Give this one a go later!

The frequency of a loss occurring



The uncertainty associated with a loss occurring

The certainty of a loss occurring

The severity of a loss when it occurs

Don't know?

Term 

263 of 552

A homeowners policy contains liability insurance coverage under section 2. Which of these would be covered under this part of the policy/

Give this one a go later!

the owner does not reside in the dwelling

the increased expense incurred for the insurer to repair or rebuild property according to building code specification

✓ these are all covered

"other than collision" will pay for the loss

Don't know?



Term 

264 of 552

The ordinance or law exclusion/limitation found in property policies such as the commercial property coverage, and in the homeowner policy have the following effect:

Give this one a go later!



it excludes that part of the loss resulting from the enforcement of a building ordinance or law

life insurance

building in the process of being constructed

the earliest date that a loss or event may occur and still be eligible for coverage under the policy

Don't know?

Term 

265 of 552

Which of the following is covered under worker's compensation policy

Give this one a go later!

Perils other than those specifically named as being excluded

If there is a loss resulting from two or more perils that occur at the same time to cause a loss then is no coverage is any of the perils are excluded

products/completed limit

✓ an employee accidentally getting injured, at a customer's home while working at the customer's home

Don't know?

Term 

266 of 552

in an unendorsed claims-made general liability policy how long does an insured have to report a claim which occurred during the policy period

Give this one a go later!

120 days

✓ 60 days

30 days

90 days

Don't know?

Term 

267 of 552

Diamonds Toy Company is being sued for a death caused by a child choking on a piece from one of its transformers. Where would diamond find coverage for the defense of this law suit

Give this one a go later!

the spouse of the insured (not living in the same residence)

✓ commercial general liability

\$80,000 on the dwelling; \$16,000 garage

insurance company and/ or the first named insured in the policy

Don't know?

Term 

268 of 552

What is one reason a person may purchase a dwelling policy instead of homeowners policy?

Give this one a go later!

managing general agent



the owner does not reside in the dwelling

liability coverage for watercraft listed on schedule

Conditions

Don't know?

Term 

269 of 552

Professional liability insurance should be purchased by all of the following categories of professions, EXCEPT

Give this one a go later!

business income insurance



professional athletes and coaches

excess and surplus lines insurer

all coverage under the personal auto policy

Don't know?

Term 

270 of 552

Grace has a homeowners policy that includes section 1 coverage's A,B and C. A,B and C provide coverage for

Give this one a go later!

yes under the personal property  
party of his HO policy



dwelling, other structures,  
and personal property

these are all covered

Any peril, other than those  
specifically excluded

Don't know?

Term 

271 of 552

If the limit of liability on a structure are \$75,000 and the structure is worth \$125,000, how much would be owed on fire loss of \$50,000 if the policy has an 80% coinsurance requirement(disregard any deductibles?)

Give this one a go later!

✓ \$37,500

the broad and special forms have limited coverage for glass breakage

HO6

\$200

Don't know?



Term 

272 of 552

Which of the following types of crime insurance is the broadest in terms of coverage?

Give this one a go later!

Personal loss exposure

does not have the authority to collect premiums from producing broker agents.

business income insurance

✓ theft

Don't know?

Term 

273 of 552

Jackie's personal auto policy(which is unendorsed) would provide payment for which of the following?

Give this one a go later!

damage to the insured's living room furniture that is result of the furniture being removed from the insured premise to prevent it from further damage after a covered fire at the same premises

there is coverage, but only for the damage caused by the ensuing fire and explosion

the umbrella covers most liability exposure; the excess liability will cover only one line

✓ expense of repairing a neighbor's wall, surrounding a garden, that Jackie accidentally backed through

Don't know?

Term 

274 of 552

laura is driving her own car on behalf of her employer laura's negligent operation of her car injures a member of public. The employer may be held liable because of what is called.,

Give this one a go later!

Gross negligence

Absolute liability

Contractual liability

✓ Vicarious liability

Don't know?

Term 

275 of 552

The concept of "pure risk" involves the possibility of chance of which of the following?

Give this one a go later!

large limbs and branches of a tree that have fallen into the street as a result of a windstorm. The insured collides with them

✓ A loss only

Lost wages

Mutualization

Don't know?

Term 

276 of 552

A wrongful act other than a crime or breach of contract is law

Give this one a go later!



Tort law

There is no difference

Common law

Statutory law

Don't know?

Term

277 of 552

during the application process for a personal auto policy. the applicant says that he has not had any tickets or accidents. The insurance company accepts the risk and issues the policy. Shortly after. the insured's vehicle is stolen resulting in the insurer paying the loss and canceling the policy. This despite the fact that they found out that the insured had received several traffic tickets that he neglected to mention. What is the reason for the course of action of the insurer

Give this one a go later!

The structure that is exposed a loss, the perils that may occur, consequently causing a loss possible financial impact of loss

the uncertainty of a loss

✓ the traffic tickets that were not disclosed were not material. This is why the policy was not recinded and the claim was paid

The chance of loss only

Don't know?

Term 

278 of 552

If an individual does not own an auto, nor have regular use of an auto, what endorsement to a personal auto policy could be used to properly protect that individual

Give this one a go later!

miscellaneous type vehicle endorsement



named non-owned liability coverage

all coverage under the personal auto policy

return stolen property to the address shown in the policy

Don't know?

Definition 

279 of 552

The amount to replace damage property minus depreciation

Give this one a go later!

When may a representation be withdrawn?

Are standardized umbrella policies available?

What is the primary difference between a HO2 and HO3 policy?



Actual cash value is defined as the

Don't know?



Term 

280 of 552

If an Inland marine policy provides coverage for any loss unless it is specifically excluded, it would be considered which of the following?

Give this one a go later!

a private passenger auto owned by a partnership

Any peril, other than those specifically excluded

prior approval

✓ open perils

Don't know?

Term 

281 of 552

Which of the following statements is true regarding compensatory damages?

Give this one a go later!

There is always a direct correlation between general and special damages awarded to the victim

✓ There is usually no direct correlation between the amount of general and special damages awarded to the victim

General damages are always higher than special damages in compensatory awards

The amount of general and special damages is fixed by law and cannot be altered by the court

Don't know?

Term 

282 of 552

When an automobile insurance policy is canceled at the request of the insured , and the insurance company keeps all earned premiums, in addition to an amount to pay for overhead expense incurred by the insurer, it is referred to as what type of cancellation

Give this one a go later!

the partial premium cancellation

the pro rata cancellation



the short rate type of  
cancellation

the full premium refund  
cancellation

Don't know?

Term 

283 of 552

An unendorsed personal auto policy would cover which of the following under the liability coverage part?

Give this one a go later!

makes carrying insurance of percentage of the building value advisable to avoid a possible

✓ the repair expenses that are needed to fix the damage to neighbor's fence that was the result the insured negligently driving through it while driving unsafely

The insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%

Valuation clause

Don't know?

Term 

284 of 552

Which of the following statement is true regarding insurer with admitted status in California?

Give this one a go later!

they may offer discounts based on marital status

they must use age and gender to determine rates

✓ they may not use race color, religion, or national origin as condition to use higher rate

they are required to use credit score for rate adjustments

Don't know?

Term 

285 of 552

What is the primary difference between a HO2 and a HO4 policy?

Give this one a go later!

protection and indemnity coverage

Personal loss exposure

perils insured against under coverage C

✓ property insured under coverage A

Don't know?

Term 

286 of 552

The amount to replace property with like property of the same quality and construction is the

Give this one a go later!



Replacement cost

Market value

Actual cash value

Stated amount

Don't know?

**Definition** 

287 of 552

requires agents to keep records of any compensation they may have received for their services involved with premium financing

**Give this one a go later!**

It is a violation of the CA insurance code to act as a producer for a non admitted carrier unless

It is a violation of CA insurance code to act as a producer for a non- admitted carrier unless

Any person who makes a loan of money using real property as security

✓ The CA insurance code

Don't know?



Term 

288 of 552

which of the following is the best definition of an insurer's loss reserve

Give this one a go later!

the total revenue earned by an insurer from premiums

the estimated cost of an insurer's administrative expenses



the approximate dollar amount of an insurer's liability of at least one (or more) open claims

the projected profit margin for an insurer over the next year

Don't know?

Term

289 of 552

Calculate the amount the insurer would pay, under a PAP, for a loss in the following circumstances, with the following coverage limit: collision coverage--\$500 deductible. Other- than collision--\$50 deductible; damage to the insured's vehicle-\$1050 after insured misses a stop sign and hits another vehicle

Give this one a go later!

✓ \$550

named non-owner coverage  
endorsement

other than collision coverage

HO4

Don't know?

Term 

290 of 552

Define the term "we" as it is found in three types of property covered under a commercial building and personal property coverage form, specifically, business personal property

Give this one a go later!

notice must be sent with return receipt required

this is how the insurer would handle this claim.



the insured as listed in the declaration page

the broadest coverage on any auto shown in the declarations

Don't know?

Term 

291 of 552

What is the type of loss exposure that would include land and property attached to it

Give this one a go later!

Personal loss exposure

Personnel loss exposure



Liability loss exposure

Direct loss

Don't know?

Term 

292 of 552

Under a personal auto policy, who qualifies as an insured while using a covered auto

Give this one a go later!

the short rate type of cancellation

✓ any person

the spouse of the insured (not living in the same residence)

Valuation clause

Don't know?

Term 

293 of 552

Which of the following losses would be covered under Dick's personal auto policy other than collision coverage?

Give this one a go later!

Dick's car is damaged in a minor collision at a stoplight



someone shoots Dick's car rear window while the car is parked on the street overnight

Dick's car is damaged by a falling tree during a storm

Dick's car is vandalized with graffiti while parked

Don't know?

Term 

294 of 552

It is a violation of CA insurance code to act as a producer for a non- admitted carrier unless

Give this one a go later!

the producer works for an  
admitted carrier

the producer is licensed by  
multiple states

the producer has approval from  
the state governor



the producer is a surplus  
lines broker

Don't know?

Term 

295 of 552

Which of the following perils is insured against in the special form, but not in the basic form?

Give this one a go later!

a well- maintained dwelling  
located in a hazardous brush area

riot or civil commotion

Personal loss exposure

✓ collapse

Don't know?



Term 

296 of 552

Under the liability portion of an unendorsed personal auto policy, what coverage is available if the named insured is operating a company car a regular basis?

Give this one a go later!

the personal auto policy



the policy excludes this usage

umbrella policy

named non-owned liability coverage

Don't know?

Term 

297 of 552

Symbol 7 in a business auto policy indicates that there is liability coverage for:

Give this one a go later!



auto specially described in the policy are covered

a builder risk policy

The principle of vicarious liability

additional living expense

Don't know?

Term 

298 of 552

If the named insured has been charged with arson in reference to a total loss to the insured's building, what effect will the insured's action have on the mortgage holder's claim for damages?

Give this one a go later!



the mortgagee is entitled to receive 100% of their loss

this limit could reduce the products and completed operations

the insured being in the alcoholic beverage business

this is defined and classified as concealment

Don't know?

Term 

299 of 552

When is property and casualty agent required to inform an insured of any conditions which may be precedent to coverage regarding a personal auto policy?

Give this one a go later!

at time of delivery

at time of claim

at time of policy delivery

✓ at time of application

Don't know?

Term 

300 of 552

Determine the actual cash valuing the following situation:  
original price of office when purchased(8 years ago-\$9,000  
depreciated amount at time of fire --\$5,000; current replacement  
cost --\$12,000

Give this one a go later!

Don't know?

Term 

301 of 552

You are the agent for an insured that carries both a homeowners policy and a personal auto policy(PAP) with you through the same insurance carrier. The insured is driving home,(in the auto you have insured),after purchasing a brand new big- screen TV,VCR, stereo, CD

**Give this one a go later!**

these types of vehicles( motorcycles, and other types of non-automobiles) are not covered under a personal auto policy that is unendorsed

Kim gives her neighbor ride to the store in the insured car. She has an auto accident in which they each incur over \$2000 in medical expenses. The maximum that Kim's policy will pay is \$2000 to her and \$2000 to her neighbor

both personal activities and premises of the insured as well as any activates of the insured that occurs off the named premises

✓ DVD player all in one unit. He collides with a parked car and destroys the new TV. How would this loss be covered?/ the homeowners policy-personal property coverage

Don't know?

Term 

302 of 552

It is a violation of the CA insurance code to act as a producer for a non admitted carrier unless

Give this one a go later!

the producer is a licensed life insurance agent



the producer is a surplus lines broker

the producer is authorized by the state insurance board

the producer is appointed by an admitted carrier

Don't know?

Term 

303 of 552

What is it about a liability policy that causes there to be a need for inland marine coverage

Give this one a go later!



the exclusion for care, custody and control

The uncertainty associated with a loss occurring

the dwelling property coverage part

individuals having a fire & casualty broker- agent license

Don't know?



Term 

304 of 552

- The types of transactions and insurer that a surplus lines broker is involved with is/are

Give this one a go later!

non-admitted insurer, life  
insurances

admitted insurer, life and health  
insurances



non-admitted insurer,  
property and casualty  
insurances

admitted insurer, commercial  
insurances

Don't know?

Term 

305 of 552

To determine the fact actual cash value of commercial bulding for coinsurance purposes uses

Give this one a go later!

Book value

Stated value

Replacement value

✓ Fair market value

Don't know?

Term 

306 of 552

Under the terms and conditions of the commercial package policy, who is responsible to make all premium payments, if there are four individuals named as insured's, which are all operating a business under a DBA, and are unincorporated

Give this one a go later!

Personal loss exposure

✓ the first named insured

the dwelling property coverage part

being shipped with freight company

Don't know?

Term 

307 of 552

The symbol "4" on a business auto policy indicates coverage for which of the following categories of vehicles?

Give this one a go later!

auto and personal liability only

dwelling, other structures, and personal property



owned autos other than private passenger auto

an employee who causes an injury to a customer while working in home of that customer

Don't know?

Term 🔊

308 of 552

The ordinance or law limitation in a homeowners policy may cause a gap in coverage in which of the following situations?

Give this one a go later!

\$30,000

the insured regularly uses, at the permission of his employer, a company owned car and has an accident with the vehicle



the insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%

liability coverage that is excess of his neighbor's liability coverage. His collision coverage also applies, but on primary basis

Don't know?

Term 

309 of 552

The term "your" was found in the definitions section of a commercial building and personal property coverage form referring to "your business personal property" is defined as which of the following?

Give this one a go later!



the named insured from the declaration page, exclusive

business owners policy

the policy excludes this usage

A negligent act that causes bodily injury or property damage that follows a sequence of uninterrupted, but related chains of events

Don't know?

Term 

310 of 552

What perils are insured against under the "additional coverage's property removed" of a homeowners policy?

Give this one a go later!

✓ all perils

property insured under coverage  
A

open or all-risk coverage

Fair market value

Don't know?

Term 

311 of 552

What is the formula for actual cash value (ACV) in determining loss values

Give this one a go later!



Replacement cost less depreciation

Original purchase price less depreciation

Depreciation plus replacement cost

Depreciation less replacement cost

Don't know?



Term 

312 of 552

State of California DOI minimums for liability coverage are \$15,000 /\$30,000/\$5,000. An insured has an accident out of state that has higher financial responsibility limits than California. Which of these is true?/

Give this one a go later!

a loss occurs or event can occur and still be eligible for recover of payment under the terms of the policy, if it occurs after this date

 the policy automatically provides the higher necessary limits without an extra premium

an unendorsed personally auto policy does not automatically cover two wheeled vehicles

the personal auto policy is excess

Don't know?

Term 

313 of 552

• Which of the following is the only reason that an insurer can cancel an automobile insurance policy?

Give this one a go later!

the large amount of resources needed for some catastrophic losses

liability and medical



the driver's license of the individual who usually operates the vehicle that is insured by the policy and who is insured by the policy has had license suspended temporarily

the minimum liability for CAARP policies are 15000/30000/5000

Don't know?

Term 

314 of 552

Which rate approval filing system is used in California for most lines of insurance

Give this one a go later!

post approval

state approval

mandatory

✓ prior approval

Don't know?

Term 

315 of 552

What gives an insured party the right to seek compensation if it is proven that another person with negligence contributed to the injury

Give this one a go later!



Tort law

Statutory law

Declaration

Worker' compensation

Don't know?

Term 

316 of 552

The amount paid for damaged property which is equal to the price for which it could have been sold is called

Give this one a go later!



Market value

Book value

Salvage value

Replacement value

Don't know?

Term 

317 of 552

Which of the following is true regarding the loss of income that is result of a suspension of business's operations under the business income coverage form?

Give this one a go later!

Personal loss exposure



it must be the result of a peril that is insured under the policy, otherwise there will be no coverage

a "palm pilot" computer (owned by the insured) is stolen from the vehicle while parked in the insured's driveway. There are forcible signs of the vehicle

falling objects

Don't know?

Term 

318 of 552

Which cause of loss, under commercial property coverage, includes coverage for the peril of windstorm?

Give this one a go later!

products/completed limit

all coverage under the personal auto policy

✓ basic, broad and special

none of these are covered

Don't know?

Term 

319 of 552

The dwelling policy form that offers the broadest type of coverage is which of the following

Give this one a go later!

sending the propect an email suggesting that they buy a certain type of policy

requires agents to keep records of any compensation they may have received for ther services involved with premium financing

life insurance

✓ special

Don't know?



Term 

320 of 552

• It can be very tempting for commission based insurance salespeople to perform unethical activities in order to make a sale. of the following which would not be a reason why and agent might be tempted to act unethically?

Give this one a go later!

gaining recognition from peers and supervisors

seeking higher commissions through volume sales

meeting sales quotas set by the company

 maintaining the best interest of customers first and foremost

Don't know?

Term 

321 of 552

Which of these covered by an employee dishonesty coverage form?

Give this one a go later!



theft of stock from the business, owned by the policyholder, by an employee

there is the convenience all coverage being contained in one policy, which typically contains package discounts

damage caused by the insured, driving into a fallen tree, that fell during a storm

there is coverage, but only for the damage caused by the fire and explosion

Don't know?

Term

322 of 552

Your client owns a business that leases a warehouse and office space, in order to maximize the space and size of the building he has installed over \$100, 00 of partitions, lighting, security equipment, carpeting, bookcases and storage cabinets. All of these features are permanently installed and therefore cannot be removed and taken when he moves upon expiration of these. To protect his financial interest in these items in the event of fire, which of the following should be utilized on his commercial property policy

Give this one a go later!

the concealed facts were not material, they would paid the claims anyways



improvements and betterments coverage

actual cash value of the damaged or stolen property

When there is negligence whether proven or not

Don't know?

Term 

323 of 552

The territorial limits of a personal auto policy include which of the following

Give this one a go later!

Personal loss exposure

all perils

collapse

✓ Toronto,Canada

Don't know?

Term 

324 of 552

Under a building and personal property coverage form, if the insured has been vacant for more than 60 consecutive days. What effect will this have on vandalism loss

Give this one a go later!

the insurance department



the loss is excluded

Insurable interest

The principle of vicarious liability

Don't know?

Term 

325 of 552

# A representation as to the past

Give this one a go later!



present or future is an  
,verified promise

conditional agreement

tentative proposal

unverified assumption

Don't know?

Term 

326 of 552

Inland marine policies nearly always provide\_\_\_\_\_coverage

Give this one a go later!

to encourage insured's to purchase coverages near the value of the property

a surplus lines broker

Neither of these apply



open peril/All Risk /Special form

Don't know?

Term 

327 of 552

A business owner, who is insured with a business auto policy, is interested in purchasing the necessary liability coverage for any losses and subsequent claims that result from an employee's use of their own vehicles. What would be the best way to do this?

Give this one a go later!

the short rate type of cancellation

All-risk or open peril

disability, death, sickness, of  
valuable employee, Personnel  
loss exposure



buy employer's non  
ownership liability in the  
business auto policy

Don't know?



Term 

328 of 552

An automobile insurance company is permitted to cancel a personal auto policy for which of the following reasons?

Give this one a go later!

it is determine by the affect of the facts on each party to the contract in determining his or her estimate of the disadvantages of the contract

the insured being in the alcoholic beverage business

Receive full payment for the loss, if the required premium has been paid

✓ the insured's drive license is suspended. This is the person that normally drives the vehicle

Don't know?

Term 

329 of 552

The coverage found under both a homeowners section 2 and a comprehensive personal liability policy extends to which of the following?

Give this one a go later!

"all risks", coverage applies to real property , broad form named perils  
coverage applies to personal property

DVD player all in one unit. He collides with a parked car and destroys the new TV. How would this loss be covered?/ the homeowners policy-personal property coverage

✓ both personal activities and premises of the insured as well as any  
activities of the insured that occurs off the named premises

the windshield of the vehicle is damaged while left overnight on a city street within 5 miles of the insured's residence

Don't know?

Term 

330 of 552

Risk management technique that eliminates a loss exposure and reduces the chance of loss to zero is

Give this one a go later!



Avoidance

Retention

Acceptance

Transfer

Don't know?

Term 

331 of 552

The applicant wants a homeowner policy that has open peril coverage on his home(building structure) assuming he is eligible for the policy, which would you recommend?

Give this one a go later!

open perils

✓ HO3

bulk mailing

prior approval

Don't know?

Term 

332 of 552

Under a value reporting form, if the insured has made no reports as required, what is the most that will be paid in the event of a loss?

Give this one a go later!



75% of the limit

pro basketball player

falling objects

Employee training

Don't know?

Term 

333 of 552

How much coverage, if any, is available under HO3 for landlord's furnishes?

Give this one a go later!

awnings

amitted

☒ \$2,500

perjury

Don't know?

Term 

334 of 552

Which of the following collapse losses would be covered under an HO3

Give this one a go later!



Weight of contents

Lost wages

collapse

broader coverage is desired

Don't know?

Term 

335 of 552

Livery conveyance is best described as a

Give this one a go later!



vehicle for hire to transport people

perils insured against under coverage C

Retention of loss by the insured

present or future is an ,verified promise

Don't know?



Term 

336 of 552

If an insured rents an auto while on vacation, what coverage if any will be available for physical damage coverage under a personal auto policy

Give this one a go later!

whether the rate mathematically reflects the insurance company's investment income

this would be considered a misrepresentation

concealment does not occur if no inquiry is made

✓ the broadest coverage on any auto shown in the declarations

Don't know?

Term 

337 of 552

A commercial property causes of loss forms do not cover any losses caused by

Give this one a go later!

liability coverage for watercraft listed on the schedule

to encourage insureds to purchase coverages near the value of the property



smoke damage from industrial operations

Losses that are catastrophic

Don't know?

Term 

338 of 552

Which of the following best characterize a speculative risk?

Give this one a go later!

A situation that only involves potential savings



A situation that offers the possibility for a loss or gain

A situation that eliminates any possibility of gain

A situation that guarantees a loss

Don't know?

Term 

339 of 552

An individual is driving home from the store with a new 48- inch flat screen TV. An accident occurs and the TV is destroyed. The driver carries a homeowners policy (HO) as well as a personal auto policy (PAP). Will the damaged TV be covered? If yes, how?

Give this one a go later!

under the collision section of the policy

✓ yes, under the personal property part of his HO policy

be caused by an insured peril, otherwise there is no coverage

named non-owner coverage endorsement

Don't know?

Term 

340 of 552

What is the process whereby insurers decide which customers to insure and what coverage to offer

Give this one a go later!

Regulation

Ratemaking

Marketing

✓ Underwriting

Don't know?

Term 

341 of 552

- What is the minimum number of required continuing education hours that a fire and casualty broker-agent must meet?

**Give this one a go later!**

30 hours each 24 month period  
following the date of the original  
license if licensed after 1/1/92

15 hours each 12 month period  
following the date of the original  
license if licensed after 1/1/92

20 hours each 12 month period  
following the date of the original  
license if licensed before 1/1/92

✓ 25 hours each 12 month  
period following the date of  
the original license if license  
after 1/1/92

**Don't know?**

Term 

342 of 552

What is the minimum discount percentage for the "good driver" discount?

Give this one a go later!

30%

✓ 20%

15%

10%

Don't know?

Term 

343 of 552

A situation in which there is only the possibility of loss or no loss is considered a

Give this one a go later!



Pure risk

Adverse risk

Speculative risk

Physical hazard

Don't know?



Term 

344 of 552

## exclusive agents

Give this one a go later!



generally represent only  
one insurer

often operate independently  
without insurer ties

typically work for multiple  
insurers

usually specialize in life insurance  
only

Don't know?

Term 

345 of 552

What additional coverage does a DP2 have compared to a DP1?

Give this one a go later!

Built- in appliance

losses that are catastrophic

The chance of loss only

✓ additional living expenses

Don't know?

Term 

346 of 552

Under section 2 of homeowner's policy, comprehensive personal liability coverage is extended to which of the following

Give this one a go later!

extends the filing reporting period indefinitely



premises described in the policy and all personal activities of the insured on or off the described premises

the increased expense incurred for the insurer to repair or rebuild property according to building code specification

an unendorsed personal auto policy does not automatically cover two wheeled vehicles

Don't know?

Term 

347 of 552

All of the following causes of loss are covered by equipment breakdown insurance, EXCEPT:

Give this one a go later!

Financial loss

✓ inherent defect

theft

the content and wording of the  
policy is stated in the state  
insurance code

Don't know?

Term 

348 of 552

Plate glass coverage, which is found in a commercial property policy, (basic, broad and special cause of loss form), contains which of the following characteristics?

Give this one a go later!



the broad and special forms  
have limited coverage for  
glass breakage

the mortgagee of the insured  
property can recover on this loss

there is coverage, but only for the  
damage caused by the ensuing fire  
and explosion

if any chance a loss happening  
during the policy period

Don't know?

Term 

349 of 552

The ordinance or law limitation in a homeowner's policy may cause a gap in coverage in which of the following situations?

Give this one a go later!

sending the propect an email suggesting that they buy a certain type of policy

someone paid to transact insurance on behalf of another person, but not on behalf of the insurer

✓ The insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%

Valuation clause

Don't know?

Term 

350 of 552

When does a personal auto policy require the insured to notify the police?

Give this one a go later!

for minor fender benders

✓ for hit and run and thefts

for traffic violations

for routine maintenance and repairs

Don't know?

Term 

351 of 552

The coverage that is the broadest, is found in which of the following dwelling insurance contracts?

Give this one a go later!

there is no appreciable difference

liability and medical payments

✓ the special form

Financial loss

Don't know?



Term 

352 of 552

How would a "peril" best be defined?

Give this one a go later!

Severity of the loss event



Reason for the loss event  
that leads up to loss

Financial impact of the loss

Frequency of the loss occurrence

Don't know?

Term 

353 of 552

under California insurance code marketing department is responsible for all of the following; except

Give this one a go later!



bulk mailing

zip coding

rw and associates underwriting  
for blg insurance corporation

signing a covering note

Don't know?

Term 

354 of 552

What is the advantage to the insured of purchasing a commercial package policy instead of purchasing the coverage on a monoline basis

Give this one a go later!

Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land

the umbrella covers most liability exposure; the excess liability will cover only one line



there is the convenience all coverage being contained in one policy, which typically contains package discounts

the large amount of resources needed for some catastrophic losses

Don't know?

Term 

355 of 552

A home is damage exclusion in the cause of loss- special form applies to all the following EXCEPT:

Give this one a go later!

the personal auto policy

the policy will automatically provide the higher limits at no extra charge

✓ plumbing system leakage

Insuring agreement

Don't know?

Term 

356 of 552

All of the following insurance company are private insurers;  
EXCEPT

Give this one a go later!

Captive insurance company

Legal insurance company

Reciprocal insurance company

✓ Fraternal insurance  
company

Don't know?

Term 

357 of 552

Under an unendorsed personal auto policy, what coverage is available for personal effects?

Give this one a go later!

HO6

\$30,000

The insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%

✓ none

Don't know?

Term 

358 of 552

A personal auto policy will cover all the following types of losses, EXCEPT:

Give this one a go later!

requires agents to keep records of any compensation they may have received for their services involved with premium financing

HO3



a "palm- top" computer, personally owned by the insured, is stolen from the insured's car while it is parked in her driveway at home

the short rate type of cancellation

Don't know?

Term 

359 of 552

Coverage parts A,B & C of GCL is which of the following?

Give this one a go later!

of profits due to suspension of business operations because of a premises fire

none of these are excluded from the power and authority given to fire and casualty managing general agent



bodily injury and property damage liability, personal and advertising injury, and medical payments

to the premises described and to the personal activities of the insured's on or off of the premises

Don't know?



Term 

360 of 552

A homeowners, specifically coverage C, has certain limits on various classifications of property, the lower sub limits apply for THEFT to the following of personal property; EXCEPT

Give this one a go later!



money

Jill

a homeowner decides not to  
install a pool in the backyard

HO6

Don't know?

Term 

361 of 552

An insured's loss reserve for a claim is

Give this one a go later!

A fixed amount determined by the insurer

The maximum payout allowed by the policy



An estimate or the amount that the insurer will pay

The actual amount paid by the insurer

Don't know?

Term 

362 of 552

Which of the following describes an insurer who has enough financial resources only to provide for all of its liability and for all reinsurance of all outstanding risk?

Give this one a go later!

liquidate

guaranteed

✓ insolvent

overdraft

Don't know?

Term 

363 of 552

Type of exposure can be best defined as a condition or situation where the exposure to financial loss is presented to a business owner by the injury

Give this one a go later!

Market fluctuation, economic downturn, Financial loss exposure



disability, death, sickness, of valuable employee, Personnel loss exposure

Operational disruption, supply chain issues, Business interruption exposure

Property damage, theft, natural disaster, Asset loss exposure

Don't know?

Term 

364 of 552

Your insured client has an auto policy with liability and collision coverage's. the insured experience an at fault accident the first time he uses the neighbor's truck which has liability coverage only. His PAP provides coverage and will pay for the entire loss since he was driving the truck

Give this one a go later!



this is how the insurer would handle this claim.

A situation that offers the possibility for a loss or gain

maintaining the best interest of customers first and foremost

any part of the loss which is caused by the perils of vandalism, theft or glass breakage, sprinkler leakage will not be covered

Don't know?

Term 

365 of 552

All of the following meet the definition of the insured under a HO3 policy, EXCEPT

Give this one a go later!

Retention of the loss by the insured

automobiles while kept for the owner in a commercial parking garage

Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land



a 70-year old grandparent residing in an adult care facility

Don't know?

Term 

366 of 552

Under California insurance code a surplus lines broker

Give this one a go later!

transact business only with  
admitted insurers



transact business only with  
non admitted insurers

work exclusively with  
government-sponsored insurers

handle business with both  
admitted and non-admitted  
insurers

Don't know?

Term 

367 of 552

In reference to the coverage's provided in the basic form, the boat owners policy is similar to what other policy

Give this one a go later!

basic, broad, and special

the policy exclude this usage

✓ the personal auto policy

plumbing system leakage

Don't know?



Term 

368 of 552

Lee has a personal auto policy with \$250 deductible collision coverage and \$100 deductible other collision coverage. He runs a stop sign and hits another car. There is \$1300 worth of damage to his(the insured's) car. How much would the insurer pay the damage to lee's car

Give this one a go later!

it excludes that part of the loss resulting from the enforcement of a building ordinance or law

✓ \$1050

these are all covered

special

Don't know?

Term 

369 of 552

Newly acquired motorcycle are not automatically covered under a personal auto policy (PAP) because:

Give this one a go later!

a builder risk policy

the mortgagee of the insured property can recover on this loss

plubing system leakage



the unendorsed policy does not cover two wheeled vehicles

Don't know?

Term 

370 of 552

There is exclusion in an automobile insurance issued by admitted insurer in California regarding coverage in Mexico, which can only be provided through an endorsement to PAP. Which is true regarding this endorsement?

Give this one a go later!

✓ it is liability coverage, on an excess basis , provided for losses that occur in Mexico, within 25 miles of the California/Mexico international border

it is determine by the affect of the facts on each party to the contract in determining his or her estimate of the disadvantages of the contract

only on the below average business submitted to them keeping the good business for themselves

DVD player all in one unit. He collides with a parked car and destroys the new TV. How would this loss be covered?/ the homeowners policy-personal property coverage

Don't know?

Term 

371 of 552

Damage done by an earthquake to an insured auto covered by the auto policy

Give this one a go later!

greater number of smaller claims sent to the insurer

perils insured against under coverage C

under the other- than-collision section of the policy



if the other than collision coverage is purchased

Don't know?

Term 

372 of 552

An insured purchased a commercial policy on an owned building. The policy contains a coinsurance provision. The coinsurance clause

Give this one a go later!



makes carrying insurance of percentage of the building value advisable to avoid a possible

market conduct regulation

requires agents to keep records of any compensation they may have received for their services involved with premium financing

forward to the commissioner a notice of appointment with 14 days of receipt of application.

Don't know?

Term 🔊

373 of 552

"other-than collision" coverage of personal auto policy covers which of the following types of losses?

Give this one a go later!

✓ the windshield of the vehicle is damaged while left overnight on a city street within 5 miles of the insured's residence

There is an equal exchange of amounts or values within the contract

the cost of repairing the neighbor's fence that Steven damage due to the negligent operation of his car

there is coverage, but only for the damage caused by the ensuing fire and explosion

Don't know?

Term 

374 of 552

Under a personal auto policy(PAP),how would the damage sustained to an insured vehicle as the result the insured smashing into a large fallen tree that had fallen several hours earlier as the result of a lightening striking is it covered?

Give this one a go later!

license number of hit and run vehicle

yes, under the personal property part of his HO policy



under the collision section of the policy

named non-owner coverage endorsement

Don't know?

Term 

375 of 552

All of the following are incorrect regarding the CAARP, EXCEPT

Give this one a go later!

allow the company to inspect the damaged property before it is repaired

to encourage insured's to purchase coverages near the value of the property

Fraternal insurance company



\$15,000/\$30,000/\$5,00 are the minimum liability limits required under this plan

Don't know?



Term 

376 of 552

Under a special cause of loss form if a landslide is caused by an unnatural flow of water due to improper grading, the loss is,

Give this one a go later!

Covered under the specified perils

Denied due to natural causes



Excluded under the concurrent causation

Included under the named exclusions

Don't know?

Term 

377 of 552

California has lower financial responsibility limits than most other states. If randy, a California personal auto policy insured, carrying minimum limits on coverage, has an accident in a state that quires higher limits then,

Give this one a go later!

only if an endorsement is attached to the policy and comes from the insurer

the applicant has previously has a licenses application denied for cause within the past five years



the policy will automatically provide the higher limits at no extra charge

Tort law

Don't know?

Term 

378 of 552

Grace has a homeowner's policy that includes section 1 coverage's A, B and C. A,B and C provide coverage for

Give this one a go later!

the cost of the labor only if the labor is performed at the place of disablement

Absolute liability

homes located in a hazardous brush or high risk urban areas



dwelling, other structures, and personal property

Don't know?

Term 

379 of 552

Any person who makes a loan of money using real property as security

Give this one a go later!



Shall no make available the information contained in a borrower's fire or causulaty policy if the borrower has filed a statement with the lender that they do not want the lender to disclose this informqation.

an unendorsed personally auto policy does not automatically cover two wheeled vehicles

David leaves his personal (non-business) laptop computer in his car overnight. Car is parked in the driveway outside of his home. Computer is stolen from his

liabilty if the insured vessel strikes a marina and injures a dock worker

Don't know?

Term 

380 of 552

What type of policy is comparable to commercial property policy coverage as a dwelling policy's coverage is

Give this one a go later!

✓ business owners policy

the boat owners policy covers injuries to the people on the boat, and the HO3 covers injuries to other outside the home

a builder risk policy

the policy exclude this usage

Don't know?

Term 

381 of 552

The provision in a property policy which states that the insured has been paid up to their insurable interest is

Give this one a go later!

Loss settlement clause



Valuation clause

Both-to-blame clause

Liberalization clause

Don't know?

Term 

382 of 552

Typically exclusions under any medical expense policy include all of the following EXCET

Give this one a go later!

a 70-year old grandparent  
residing in an adult care facility

Insurane service office and  
American association of  
insurances



claims also covered by  
personal auto policy  
medical payment

the large amount of resources  
needed for some catastrophic  
losses

Don't know?

Term 

383 of 552

All of the following vehicles are eligible for coverage under a personal auto policy, EXCEPT

Give this one a go later!

\$160,000 on the dwelling and  
\$32,000 on the other structures.



a private passenger auto  
owned by a partnership

the insured's customers who are  
in the process of transacting  
business on the insured's premises

All-risk or open peril

Don't know?



Term 

384 of 552

The medical expense coverage in workers' compensation policy

Give this one a go later!

property insured under coverage  
A

Amount to replace the damage  
property without a deduction for  
depreciation



does not have a time nor a  
dollar limit

there is no appreciable difference

Don't know?

Term 

385 of 552

What is one reason a person may purchase a dwelling policy instead of homeowners policy?

Give this one a go later!

the insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%

the insured's furniture is damaged when it is removed from the insured's residence during the fire at the residence

✓ the owner does not reside in the dwelling

the increased expense incurred for the insurer to repair or rebuild property according to building code specification

Don't know?

Term 

386 of 552

The negotiation of a policy involves which of the following

Give this one a go later!

sending the prospect a letter  
guaranteeing coverage



sending the prospect an  
email suggesting that they  
buy a certain type of policy

visiting the prospect to sign the  
agreement in person

calling the prospect to finalize  
policy details

Don't know?

Term 

387 of 552

Steven's(unendorsed) personal auto liability coverage would pay for

Give this one a go later!

they may not use race color, religion, or national origin as condition to use higher rate

damage caused by the insured, driving into a fallen tree, that fell during a storm

✓ the cost of repairing the neighbor's fence that Steven damage due to the negligent operation of his car

There is an equal exchange of amounts or values within the contract

Don't know?

Term 

388 of 552

Section 770 of the insurance code is true regarding unfair or trade practice?

Give this one a go later!

an entity can require insurance to be placed with any agency

an entity must ensure insurance is placed with a local agency

an entity cannot suggest insurance be placed with a specific insurer



an entity cannot demand the insurance be placed with a particurl agency

Don't know?

Term 

389 of 552

"umbrella policies "provide coverage for and are best defined as which of the following?

Give this one a go later!

of profits due to suspension of business operations because of a premises fire



excess liability coverage, on a broader basis, above an underlying primary policy

there is coverage, but only for the damage caused by the fire and explosion

A vehicle that is self-insured because it is owned by a state agency

Don't know?

Definition 

390 of 552

the amount of covered expense that the insured pays before the insurer pays,

Give this one a go later!

Absolute risk(liability) is imposed

✓ an insurance deductible is

If the named insured has been charged with arson in reference to a total loss to the insured's building, what effect will the insured's action have on the mortgage holder's claim for damages?

Which of the following statements is NOT true? A fire and casualty agent

Don't know?

Term 

391 of 552

The CA insurance code requires property insurance policies specify all of the following EXCEPT

Give this one a go later!



the insured address

the amount of premium charged  
for each coverage

insured's risks or perils

the policy period

Don't know?



Term 

392 of 552

Of the following choices, which one would define the "replacement date" which is contained in the structure of a claims-made professional liability policy contract?

Give this one a go later!

extends the filling reporting period indefinitely

Insuring agreement

the insured's customers who are in the process of transacting business on the insured's premises



a loss occurs or event can occur and still be eligible for recover of payment under the terms of the policy, if it occurs after this date

Don't know?

Term 

393 of 552

Of the following, which are included under the coverage provide by a worker' compensation policy?

Give this one a go later!

when the broker/agent has no appointment with any insurance company, but licensing renewal fee have paid and CE requirement have been met

✓ coverage for sickness or injuries illnesses that are job related without regard to who is at fault or negligent

expense of repairing a neighbor's wall, surrounding a garden, that Jackie accidentally backed through

a contract of insurance that is temporary, only in writing, between the insured and the insurer

Don't know?

Term 

394 of 552

All of the following are principal rating factors under proposition 103 for personal auto policies, EXCEPT

Give this one a go later!



number of listed drivers

professional sports player

There is an equal exchange of amounts or values within the contract

broader coverage is desired

Don't know?

Term 

395 of 552

Section 1 of a homeowners policy provides coverage for all of the following individuals EXCEPT

Give this one a go later!

the cost of the labor only if the labor is performed at the place of disablement

✓ the spouse of the insured (not living in the same residence)

an entity cannot demand the insurance be placed with a particular agency

homes located in a hazardous brush or high risk urban areas

Don't know?

Term 

396 of 552

In addition to paying legal damages, but without deducting from the policy's limits, which of these would be covered in a personal auto policy?

Give this one a go later!

excess and surplus lines insurer



these are all covered in addition to the limits stated in the policy contract

excess liability coverage, on a broader basis, above an underlying primary policy

under the other- than-collision section of the policy

Don't know?

Term 

397 of 552

Which of the following bodily injury or property damage loss exposure is covered by an unendorsed commercial general liability policy?

Give this one a go later!

the spouse of the insured (not living in the same residence)

Lisa destroys a mailbox while driving a (non-owned) company car furnished for Lisa's regular use

vehicles that are owned by an agency of the state that self-insures the vehicle

✓ an employee who causes an injury to a customer while working in home of that customer

Don't know?

Term 

398 of 552

• Entitles or organizations that provide coverage for medical expenses in California are subject to the jurisdiction of the state department of insurance (with several exceptions) unless these entities or organizations can demonstrate that during the course of providing these services

Give this one a go later!

if any chance a loss happening during the policy period

breakage of glassware by an earthquake

there is coverage, but only for the damage caused by the fire and explosion



they are subject to the, all of the above

Don't know?

Term 🔊

399 of 552

What is the effect of "concurrent causation" exclusion under the "cause of loss-broad form in a commercial property policy?

Give this one a go later!

the driver's license of the individual who usually operates the vehicle that is insured by the policy and who is insured by the policy has had license suspended temporarily



If there is a loss resulting from two or more perils that occur at the same time to cause a loss then is no coverage is any of the perils are excluded

it is liability coverage, on an excess basis , provided for losses that occur in Mexico, within 25 miles of the California/Mexico international border

Receive full payment for the loss, if the required premium has been paid

Don't know?



Term 

400 of 552

What will the mortgage holder do in the event that an insurer does not pay claim as the result of the actions of the insured

Give this one a go later!

Receive a partial refund due to insurer's failure

Negotiate a settlement with the insurer

Deny the claim until the insurer resolves the issue



Receive full payment for the loss, if the required premium has been paid

Don't know?

Term 

401 of 552

An endorsement and an extra premium would be required for which of the following liability losses under a personal auto policy?

Give this one a go later!



the insured regularly uses, at the permission of his employer, a company owned car and has an accident with the vehicle

the broadest coverage on any auto shown in the declarations

only on the below average business submitted to them keeping the good business for themselves

the umbrella covers most liability exposure; the excess liability will cover only one line

Don't know?

Term 

402 of 552

Insurers may purchase reinsurance for a variety of reason which of the following is not a good example of the use of reinsurance? Insurer purchases reinsurance

Give this one a go later!

the windshield of the vehicle is damaged while left overnight on a city street within 5 miles of the insured's residence



only on the below average business submitted to them keeping the good business for themselves

expense of repairing a neighbor's wall, surrounding a garden, that Jackie accidentally backed through

be caused by an insured peril, otherwise there is no coverage

Don't know?

Term 

403 of 552

Professionals are exposed to liability for failure to perform their profession duties. Which of the following would be least likely prospect for a professional liability policy?

Give this one a go later!

market conduct regulation

there is no appreciable difference

personal article floater

✓ pro basketball player

Don't know?

Term 

404 of 552

Jack, condo owners, wants a fire and allied lines coverage for personal property, liability coverage for him and family members, and protection for assessments or damage for the building structure and other common areas. Which homeowners form would you recommend

Give this one a go later!

collapse

yes, under the personal property  
part of his HO policy

✓ HO6

theft

Don't know?

Term 

405 of 552

If an insured timely requests coverage for a newly acquired auto under an existing personal auto policy, what coverage is provided before the request is made?

Give this one a go later!

a 70-year old grandparent  
residing in an adult care facility

Excluded under the concurrent  
causation



broadest coverage for any  
vehicle shown on the  
declarations

only on the below average  
business submitted to them  
keeping the good business for  
themselves

Don't know?

Term 

406 of 552

Under a standard ISO homeowners HO3, real property and personal property are covered for the perils of:

Give this one a go later!



"all risk" coverage applies to real property. Broad form named perils coverage applies only to personal property an applicant would like to buy a personal umbrella policy:/ your insurer may requires that he maintain underlying liability coverage by carrying auto and personal liability coverage

organized, chartered, or incorporated under the law of state of California

to the premises described and to the personal activities of the insured's on or off of the premises

all times

Don't know?

Term 

407 of 552

Where would an insured find insurance coverage to protect against damage to a shipment of televisions shipped on a semi truck for the insured's business

Give this one a go later!

Direct loss

Vancouver,Canada



inland marine

Financial loss

Don't know?



Term 

408 of 552

Part of the policy that establishes limits upon the insurer and the insured with the insurance policy

Give this one a go later!

Declaration

Waivers

Definitions



Conditions

Don't know?

Term 

409 of 552

The named for a commercial package policy is " Jill koslin and Edward koslin DBA coastline photo shop" under the terms of the common policy conditions of the commercial package policy, who is responsible for the premium payments?

Give this one a go later!

theft

✓ Jill

it is liability coverage, on an excess basis , provided for losses that occur in Mexico, within 25 miles of the California/Mexico international border

10 days

Don't know?

Term 

410 of 552

What kind of coverage would you recommend to one of your insured's who is single and does not own a car, but, she does , on occasion, drive cars that belong to her friends (both male and female). Additionally, she is planning a vacation to Florida and will be renting a car while there

Give this one a go later!



named non-owner coverage endorsement

license number of hit and run vehicle

by adding a personal injury endorsement

covered as other than collision loss

Don't know?

Term 

411 of 552

What type of homeowners's policy provides open peril coverage?

Give this one a go later!

the cost of the labor only if the labor is performed at the place of disablement

special

✓ H03

forward to the commissioner a notice of appointment with 14 days of receipt of application.

Don't know?

Term 

412 of 552

What is the difference between per accident limit in a split limit policy and single limits

Give this one a go later!



There is no difference

Information is output, and data are input

Less depreciation, is know as the, Actual cash value

The per accident limit applies to property damage, and the single limit applies to all claims

Don't know?

Term

413 of 552

A PAP contains the following limitations; \$30,000/person and \$50,000/accident for bodily injury. An accident occurs that injures three people resulting in a number of lawsuits. The outcome of lawsuits found the insured to be liable and responsible for the following damages: \$10,000 for the first person; 13,000 for the second person and \$35,000 for the third person; what will the policy pay?

Give this one a go later!

guard dog

25 hour during each twelve month period for the first four years the licensee is licensed

✓ \$50,000

all perils

Don't know?

Definition 

414 of 552

the transfer of the insured's interest in a policy to another party

Give this one a go later!

How are the HO3 and HO5  
Similar?



the term "assignment" refers  
to

Which of these is defined as  
"exclusive agent"

What does it mean if an agent's  
license is inactive?

Don't know?

Term 

415 of 552

The method that the California DOI uses to approve or disapprove rate filing for various types of insurance such as homeowners and automobile is know as?

Give this one a go later!



prior approval method

statutory accounting method

twisting method

remittance method

Don't know?



Term 

416 of 552

A claims-made professional liability policy contains a retroactive date. Which of these best describes this date?

Give this one a go later!



the earliest date that a loss or event may occur and still be eligible for coverage under the policy

a three story office building

The insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%

the cost of the labor only if the labor is performed at the place of disablement

Don't know?

Term 

417 of 552

Which of the following losses would be excluded by the ordinance or law exclusion?

Give this one a go later!

Compensation for time away from work



additional cost necessary to make a restroom ADA compliant

Personal loss exposure

a 70-year old grandparent residing in an adult care facility

Don't know?

Term 🔊

418 of 552

All of the following are true regarding the California standard form fire insurance policy, EXCEPT:

Give this one a go later!

the windshield of the vehicle is damaged while left overnight on a city street within 5 miles of the insured's residence

individuals having a fire & casualty broker- agent license



the content and wording of the policy is stated in the state insurance code

claims also covered by personal auto policy medical payment

Don't know?

Definition 🔊

419 of 552

make all necessary repairs to protect the property from further damage. The excludes that part of the loss resulting from the enforcement of a building ordinance or law

**Give this one a go later!**



An insured duties after a loss are described in the homeowner's section 1 conditions. Which of the following is NOT a correct statement about these duties? The insured must:

An insured' duties after a loss are described in the homeowner's section 1 conditions. Which of the following is NOT correct statement about these duties? The insured must:

There is exclusion in an automobile insurance issued by admitted insurer in California regarding coverage in Mexico, which can only be provided through an endorsement to PAP. Which is true regarding this endorsement?

Define the term "we" as it is found in three types of property covered under a commercial building and personal property coverage form, specifically, business personal property

**Don't know?**

Term 

420 of 552

All of the following are characteristics of an ideally insurable loss exposure"except"

Give this one a go later!

Large number of similar exposure units

Large number of exposure units

Losses that are definite and measurable  
4 large number of exposure units

✓ Losses that are catastrophic

Don't know?

Term 

421 of 552

The personal auto policy towing and labor endorsement pays for

Give this one a go later!

the cost of labor at any repair facility

the cost of towing to a repair shop and labor at the shop

the cost of parts and labor at any location

✓ the cost of the labor only if the labor is performed at the place of disablement

Don't know?

Term 

422 of 552

Which of the following coverages' does an open peril policy provide?

Give this one a go later!

Perils specifically named as being included

Perils listed as mandatory inclusions



Perils other than those specifically named as being excluded

Perils covered only by additional endorsements

Don't know?

Term 

423 of 552

What factor supportd the principle of indemnity?

Give this one a go later!

Utmost good faith

Actual cash value

Replacement cost

✓ Insurable interest

Don't know?



Term 

424 of 552

After a collision loss, the personal auto policy requires the insured to

Give this one a go later!

repair the property immediately without inspection



allow the company to inspect the damaged property before it is repaired

discard the damaged property

sell the damaged property to a third party

Don't know?

Term 

425 of 552

Under a yacht policy, protection and indemnity provides coverage for

Give this one a go later!

homes located in a hazardous  
brush or high risk urban areas

an employee who causes an  
injury to a customer while working  
in home of that customer

\$30,000



liability if the insured vessel  
strikes a marina and injures a  
dock worker

Don't know?

Term 

426 of 552

An agent who divert/comingles premium dollars for the agents's own use is guilty of

Give this one a go later!



theft

fire

earthquake

falling objects

Don't know?

Term 

427 of 552

If the limit of liability on a structure are \$75,000 and the structure is worth \$125,000, how much would be owed on fire loss of \$50,000 if the policy has an 80% coinsurance requirement (disregard any deductibles?)

Give this one a go later!

Underwriting

✓ \$37,500

60 days

collapse

Don't know?

Term 

428 of 552

Employee dishonesty coverage forms would apply to which of the following?

Give this one a go later!

does not have the authority to collect premiums from producing broker agents.

paint on the premises to be applied to the interior



company funds and securities that are stolen by an employee

a well- maintained dwelling located in a hazardous brush area

Don't know?

Term 

429 of 552

Which advisory organization(s) develop forms for the standard market?

Give this one a go later!

National insurance federation and  
Insurance brokers association

Insurance regulatory agency and  
American insurance council



Insurane service office and  
American association of  
insurances

Insurance marketing institute and  
Global insurance group

Don't know?

Definition 

430 of 552

liability coverage for watercraft listed on the schedule

Give this one a go later!



The watercraft endorsement on a homeowners policy extends coverage for

This statement that is true regarding medical expense coverage in a worker's compensation policy is

Damage done by an earthquake to an insured auto covered by the auto policy

What is one way in which the HO2, HO4, and HO6 are similar?

Don't know?

Term 

431 of 552

Which of the following describes an insurer who has enough financial resources only to provide for all its liabilities and for all reinsurance of all outstanding risk?

Give this one a go later!



insolvent

overdraft

liquidate

guaranteed

Don't know?



Term 

432 of 552

The definition of "mobile equipment" and "automobile" are defined in both a commercial general liability policy and business auto policy to specify the coverage on any vehicle or equipment. These two coverage's

Give this one a go later!

it contains an unlimited amount of coverage for both time and dollar amount

✓ differ and therefore avoids any over- laps between the two contracts

RW And Associates underwriting for Blg insurance Corporation

when the notice of appointment is signed by the insurer

Don't know?

Term 

433 of 552

How would the damage resulting from hail be covered under a personal auto policy

Give this one a go later!

license number of hit and run vehicle

Liability loss exposure



covered as other than collision loss

There is no difference

Don't know?

Term 

434 of 552

Jack, a condo owners, wants a fire and allied lines coverage for personal property, liability coverage for him and family members, and protection for assessments or damage for the building structure and other common areas. Which homeowners form would you recommend

Give this one a go later!

actual cash value

HO4

✓ HO6

\$0

Don't know?

Term 

435 of 552

All of the following explain the characteristics that are unique to insurance contracts EXCEPT

Give this one a go later!

There is a fixed term with no renewal option



There is an equal exchange of amounts or values within the contract

The contract is binding regardless of payment

There is a guarantee of profit for the insurer

Don't know?

Term 

436 of 552

Business income as, it is defined under a business income coverage form provides coverage for actual losses of business income resulting from the suspension of the actual operation of the business. Which of the following is the formula to determine this dollar amount?

Give this one a go later!



net income of the business  
plus normal operating  
expenses including payroll

there is coverage, but only for the  
damage caused by the ensuing fire  
and explosion

under the collision section of the  
policy

there is coverage, but only for the  
damage caused by the ensuing  
fire and explosion

Don't know?

Term 

437 of 552

Which of the following policies would provide coverage for a builder under construction?

Give this one a go later!

does not have the authority to collect premiums from producing broker agents.

basic, broad and special

✓ a builder risk policy

the insured desires broader coverage

Don't know?

Term 

438 of 552

Which of the following losses is not covered by either the personal auto policy collision or other than collision coverage?

Give this one a go later!

is concerned that she might be liable to the renter for liable to the renter for injuries that might occur in connection with the rental

a loss occurs or event can occur and still be eligible for recover of payment under the terms of the policy, if it occurs after this date

extends the filling reporting period indefinitely

✓ David leaves his personal (non-business) laptop computer in his car overnight. Car is parked in the driveway outside of his home. Computer is stolen from his

Don't know?

Term 

439 of 552

What is required of a broker- agent before appointing an insurance solicitor?

Give this one a go later!



must hold a permanent license

must be approved by the insurer's board

must hold a temporary license

must complete additional training

Don't know?



Term 

440 of 552

what would be the result of a lower(250) deductible vs. the selection of a higher deductible (\$1000)

Give this one a go later!



greater number of smaller claims sent to the insurer

reduced premium costs for the insured

fewer number of larger claims sent to the insurer

greater number of larger claims sent to the insurer

Don't know?

Term 

441 of 552

All of the following are listed on a commercial liability declarations page, EXCEPT

Give this one a go later!

actual cash value

property insured under coverage  
A

safety driving record

✓ rented to you limit

Don't know?

Term 

442 of 552

The insurer decides not to renew an insured's personal auto policy. How much notice must the insurer provide to the insured?

Give this one a go later!

✓ 30 days

60 days

90 days

15 days

Don't know?

Definition 

443 of 552

when the notice of appointment is signed by the insurer

Give this one a go later!

• Entitles or organizations that provide coverage for medical expenses in California are subject to the jurisdiction of the state department of insurance (with several exceptions) unless these entities or organizations can demonstrate that during the course of providing these services

• For more serious offenses and conviction an application for a license can be denied without a hearing which of the following circumstances would allow for an application to be denied for an insurance license WITHOUT A HEARING

- ✓ • All fire and casualty broker-agents must not only be licensed with the DOI but they must also be appointed with the insurance companies they will be representing. When does this authority resulting from the insurer appointment to transact insurance business become effective

The definition of "mobile equipment" and "automobile" are defined in both a commercial general liability policy and business auto policy to specify the coverage on any vehicle or equipment. These two coverage's

Don't know?

Term 

444 of 552

The retroactive date of claims-made professional liability policy is always:

Give this one a go later!

the broad and special forms have limited coverage for glass breakage

office building 2 stories high and containing about 5,000 square feet

There is an equal exchange of amounts or values within the contract

✓ the earliest date an event/loss may occur and still be eligible for recovery

Don't know?

Term 

445 of 552

A personal auto policy contains the state required liability and medical payment coverage as well as "other-than- collision" coverage. How would a claim be paid if there were a loss after an insured is stolen and then wrecked

Give this one a go later!

makes carrying insurance of percentage of the building value advisable to avoid a possible

auto and personal liability only

liability coverage that is excess of his neighbor's liability coverage. His collision coverage also applies, but on primary basis



the claim would be paid under "other-than-collision" coverage

Don't know?

Term 

446 of 552

A possibility of financial loss resulting from the ownership of property is known as

Give this one a go later!

pure risk

✓ insurable interest

utmost good faith

lost wages

Don't know?

Term 

447 of 552

Coverage under a comprehensive personal liability policy or a homeowners section 2 extends:

Give this one a go later!

automobiles while kept for the owner in a commercial parking garage

the insured being liable for a bodily injury to someone in the insured's immediate resident family



to the premises described and to the personal activities of the insured's on or off of the premises

it transact insurance according to laws of the state of California

Don't know?



Term 

448 of 552

a common fourmula that is used to establish cash value is

Give this one a go later!



ACV=replacement cost  
minus depreciation

All-risk or open peril

Fair market value

Basic principle of insurance

Don't know?

Term 

449 of 552

A single person does not own or lease an automobile. She occasionally drives her housemate's vehicle on an emergency basis. She is going on vacation and will have to rent a car. To obtain full automobile insurance coverage when this occurs, what should she purchase?

Give this one a go later!

managing general agent

the earliest date that a loss or event may occur and still be eligible for coverage under the policy



the named non-owned coverage endorsement

file a notice of appointment with the commissioner

Don't know?

Term 

450 of 552

insur's right to recover the payment of the claim after they paid the insured for their property losses a negligent 3rd party is know as,

Give this one a go later!



subrogation

assignment

appraisal

adhesion

Don't know?

Term 

451 of 552

which of the following describes the act of making a false entry in any book statement of report of any insurer with the intent to deceive any examiner lawfully appointed to examine the insured's

Give this one a go later!



an unfair practice

worker' compensation

an error of omission

an act of violating ?utmost good faith?

Don't know?

Term 🔊

452 of 552

A standard "unendorsed" HO3 policy would cover which of the following types of losses/

Give this one a go later!



the insured's furniture is damaged when it is removed from the insured's residence during the fire at the residence

"all risks", coverage applies to real property, broad form named perils coverage applies to personal property

Valuation clause

is concerned that she might be liable to the renter for injuries that might occur in connection with the rental

Don't know?

Term 

453 of 552

A personal auto policy is written for Lisa providing liability coverage. Which of the following auto liability situations would not be covered unless Lisa has an endorsement attached and paid an additional premium

Give this one a go later!



Lisa destroys a mailbox while driving a (non-owned) company car furnished for Lisa's regular use

yes under the personal property party of his HO policy

the owner does not reside in the dwelling

Absolute liability

Don't know?

Term 

454 of 552

Which of the following is covered under section 2 of a homeowner's policy

Give this one a go later!

products/completed limit

additional living expense

the approximate dollar amount of an insurer's liability of at least one (or more) open claims



all of these are covered

Don't know?

Term 

455 of 552

A business owners policy would be appropriate for which of the following types of business?

Give this one a go later!

Montreal, Canada

an entity cannot demand the insurance be placed with a particurl agency

transact business only with non admitted insurers

✓ a three story office building

Don't know?



Term 

456 of 552

A hoe is damages two hours after an earthquake, first by fire and then by fuel pipes bursting and causing an explosion. Under a homeowner's HO3 form:

Give this one a go later!



there is coverage, but only for the damage caused by the ensuing fire and explosion

if any chance a loss happening during the policy period

a home well taken care and is located in specially designated hazardous brush fire area

The principle of vicarious liability

Don't know?

Term

457 of 552

Your insured has a ten year lease on his store. He has spent \$50,000 on shelving, wall-to-wall carpeting, partitions, and lighting, etc., all of which are part of the building and cannot be legally removed. He is concerned that a fire might damage these changes that he has made and wants to make sure he is protected for their value. He should

Give this one a go later!

property insured under coverage  
A

covered as an other-than-  
collision loss

✓ coverage B personal  
property

Losses that are catastrophic

Don't know?

Term 

458 of 552

All of the following are considered intentional torts

Give this one a go later!

Waivier

Lost Wages

Auto Accident

✓ except, Assult

Don't know?

Term 

459 of 552

an insured's loss reserve for a claim is an estimate of the amount insurer will pay for present and future loss, which of the following is an example of loss prevention

Give this one a go later!

a homeowner increases the insurance coverage on their property

a homeowner installs additional security cameras

a homeowner decides to build a larger garage

✓ a homeowner decides not to install a pool in the backyard

Don't know?

Term 

460 of 552

All homeowners policies specifically describe the duties of the insured following a loss. Identify which of the following is not a duty of the insured following a loss

Give this one a go later!

Receive full payment for the loss, if the required premium has been paid

greater number of smaller claims sent to the insurer

✓ prepare an inventory of the property that has been damaged which included a description of the property, the quantity, the amount of the loss, and the actual cash value

other vessels that receive collision damage from the insured vessel

Don't know?

Term 

461 of 552

Which of the following is not a federal program

Give this one a go later!

Veterans' benefits

Health insurance



Worker' compensation

Tricare

Don't know?

Term 

462 of 552

Which of the following suggest the need for an attachment of the additional residence rented to others endorsement to an insured's homeowners policy? The insured also owns a two family dwelling rents it out to two families. The insured

Give this one a go later!

a vehicle owned by state agency  
which self-insures its auto



is concerned that she might  
be liable to the renter for  
liable to the renter for  
injuries that might occur in  
connection with the rental

these are all covered

owned autos other than private  
passenger auto

Don't know?

Term 

463 of 552

A written provision that modifies the provisions of the original contracts is know as

Give this one a go later!

The insured

Perils insured



An endrorsment

Other collision

Don't know?



Term 

464 of 552

## Are standardized umbrella policies available?

Give this one a go later!



no because each company  
want the ability to establish  
their own pricing

broadest coverage for any  
vehicle shown on the declarations

provides broad excess liability  
coverage over one or more  
primary policies

there is coverage, but only for the  
damage caused by the fire and  
explosion

Don't know?

Term 

465 of 552

Which type of policy would provide both property and liability coverage for the owner of a condominium as well as for assessments following damage to the building and other structures?

Give this one a go later!

include employers non ownership liability coverage in employer's commercial auto policy

none of these covers theft of personal property, except by endorsement

✓ HO6

the professional designation "CPCU" is acceptable following the name of any fire and casualty underwriter

Don't know?

Term 

466 of 552

In the state of CA no rate will remain in effect if it is considered to be any of the following, EXCEPT,

Give this one a go later!



Impartial

Accurate

Relevant

Procedural

Don't know?

Term 

467 of 552

- A fire and casualty managing general agent can do all of the following EXCEPT

**Give this one a go later!**

issue policies directly to consumers

determine premium rates independently

settle claims without approval from the insurer

✓ none of these are excluded from the power and authority given to fire and casualty managing general agent

Don't know?

Term 

468 of 552

"risk" is one of the most important terms in the insurance industry.  
How is it defined

Give this one a go later!

the certainty of a gain

the likelihood of a benefit

the probability of a profit

✓ the uncertainty of a loss

Don't know?

Term 

469 of 552

What is revenue minus expense?

Give this one a go later!

awnings

tree, shrubs, and other plants

additional living expenses

 net income

Don't know?

Term

470 of 552

• The process of underwriting a disability income insurance policy includes analyzing the risk associated with certain activities. Hobbies and hazardous sports. Therefore how does the California insurance code define and classify the act of an applicant who doesn't mention when applying for this type of insurance his recent interest and participation in bungee jumping

Give this one a go later!



this is defined and classified as concealment

this is defined and classified as material information

this is defined and classified as twisting

this is defined and classified as misrepresentation

Don't know?

Term 

471 of 552

Where would an insured that is in the business of importing exotic animals from Africa most likely go to obtain

Give this one a go later!

a mutual insurance company

a standard commercial insurer

a government-sponsored insurer



excess and surplus lines  
insurer

Don't know?



Term 

472 of 552

If a building damaged during an attempted burglar where money was stolen from a vault, which of the following coverage's would cover the loss of the money as well as the damage to the building?

Give this one a go later!

An estimate or the amount that the insurer will pay

greater number of smaller claims sent to the insurer



inside the premises-theft of money and securities

notice must be sent with return receipt reuired

Don't know?

Term 

473 of 552

Which of the following types of loss would result in a claim for monetary damages due to injury to another or damage to another's property

Give this one a go later!



Liability loss

Direct loss

Personnel loss

Physical loss

Don't know?

Term 

474 of 552

Which part of the insurance contract summarize the major promises of the insurer

Give this one a go later!

Exclusions

Entire contract provision



Insuring agreement

Declaration

Don't know?

Term 

475 of 552

Under an unendorsed commercial property coverage form with no optimal coverage's, on what basis are buildings

Give this one a go later!

insurance solicitor

There is no difference

insurable interest

✓ actual cash value

Don't know?

Term 

476 of 552

When must an injury occur for the medical payment coverage of a commercial general liability policy to apply?

Give this one a go later!

requires physical signs of forcible entry or exit

someone shoots Dick's car rear window while the car is parked on the street overnight



customers being on the insured's premises

at time of application

Don't know?

Term 

477 of 552

There is a certain type of liability coverage referred to as P&I, which stands for protection & Indemnity. "what does this coverage offer protection for?"

Give this one a go later!

the loss is excluded



other vessels that receive collision damage from the insured vessel

The principle of vicarious liability

the convenience of having all coverage in one policy

Don't know?

Term

478 of 552

• Insure' especially those with higher premiums very often have the immediate funds to pay required premiums such as automobile liability insurance. In many cases insurers will provide premium financing. Which of the following statements is correct regarding this financing according to the requirements of the California insurance code?

Give this one a go later!

The agent's permanent license becomes inactive

actual cash value of the damaged or stolen property

✓ any agent that provides premium financing service is required to maintain all records regarding the financing if compensation is received for financing of the premium for three years after transaction.

it is determine by the affect of the facts on each party to the contract in determining his or her estimate of the disadvantages of the contract

Don't know?

Term 

479 of 552

Under the commercial property coverage program, which causes of loss form(s) include coverage for peril of windstorm?

Give this one a go later!

safety driving record

✓ basic, broad, and special

There is no difference

.An at fault accident involving  
minor bodily injury

Don't know?



Term 

480 of 552

Liability exposures that result from the location of a business in addition to the activities of that business, is known as which of the following?

Give this one a go later!

the convenience of having all coverage in one policy



the premises and operations exposure

the perils insured against

The agent's permanent license becomes inactive

Don't know?

Term 

481 of 552

What is one of the main reasons the federal government insurance programs exist

Give this one a go later!

allow the company to inspect the damaged property before it is repaired



the large amount of resources needed for some catastrophic losses

not limited for either the time and/or the dollar amount

falling objects

Don't know?

Term 

482 of 552

• The continuing education requirements that a fire and casualty broker-agent must fulfill as required by the DOI are which of the following?

Give this one a go later!

30 hours every two years for the first five years

40 hours every three years for the entire licensing period

15 hours annually for the first three years

✓ 25 hour during each twelve month period for the first four years the licensee is licensed

Don't know?

Term 

483 of 552

Which of these is not included in definition of the "uninsured motor vehicle" in a personal auto policy?

Give this one a go later!

the first named insured and the insurer



vehicles that are owned by an agency of the state that self-insures the vehicle

liability if the insured vessel strikes a marina and injures a dock worker

managing general agent

Don't know?

Term 

484 of 552

The intentional relinquishment of known right is

Give this one a go later!

Perils Insured

✓ Waivier

Subrogation

Underwriting

Don't know?

Term 

485 of 552

Which of the following would be classified as a property insurance coverage

Give this one a go later!

Uninsured motorist coverage

Personal loss exposure



Other-than-collision  
coverage

All-risk or open peril

Don't know?

Term 

486 of 552

Which of these Dwelling policy types do not include coverage for burglary of personal property

Give this one a go later!



none of these covers theft of personal property, except by endorsement

any person

the earliest date that a loss or event may occur and still be eligible for coverage under the policy

the insured's furniture is damaged when it is removed from the insured's residence during the fire at the residence

Don't know?

Term 

487 of 552

The process whereby a stock company a mutal insurer is called

Give this one a go later!

Avoidance

Subrogation



Mutalization

Demutalization

Don't know?



Term 

488 of 552

An individual is driving home from the store with a new 48- inch flat screen TV. An accident occurs and TV is destroyed. The driver carries a homeowners policy (HO) as well as a personal auto policy (PAP). Will the damaged TV be covered ? if yes , how?

Give this one a go later!

or B of the commercial general liability (CGL) contract contains coverage for: /advertising injury

makes carrying insurance of percentage of the building value advisable to avoid a possible

it provides the convenience of one policy for all exposures and risk



yes under the personal property party of his HO policy

Don't know?

Term 

489 of 552

An apartment house is worth \$500,000. The owner insures it for \$300,000; the policy has an 80% coinsurance clause. There is a \$200,000 loss. The insurer will pay

Give this one a go later!

✓ \$150,000

A loss only

Still have right to receive the full amount of the loss a payment

...\$2,500

Don't know?

Term 

490 of 552

- Under which of the following circumstance can the insurance commissioner deny the application for an agents license without a hearing?

**Give this one a go later!**

the applicant has no prior experience in insurance

the applicant has failed to pay application fees



the applicant has previously has a licenses application denied for cause within the past five years

the applicant has not completed required education

**Don't know?**

Term 

491 of 552

Which inland marine floater is most similar to the scheduled personal property endorsement on a homeowners policy?

Give this one a go later!

Perils insured

.An at fault accident involving  
minor bodily injury

✓ personal article floater

insurance solicitor

Don't know?

Term

492 of 552

In an insured has n Ho3 policy, with replacement cost coverage on the building, what minimum amount must the insured carry to ensure that he has dwelling--\$200,00 and other structure -- \$40,000 replacement cost coverage for a partial loss to ensure the dwelling or other structures if the replacement cost is \$10,000 on the dwelling and \$32,000 on the other structures

Give this one a go later!

tell him he should add the personal injury endorsement

only if an endorsement is attached to the policy and comes from the insurer

yes under the personal property part of his HO policy

✓ \$160,000 on the dwelling and \$32,000 on the other structures.

Don't know?

**Definition** 🔊

493 of 552

tell him he should add the personal injury endorsement

**Give this one a go later!**

The los under a watercraft endorsement is covered if it arises out of:

A single person does not own or lease an automobile. She occasionally drives her housemate's vehicle on an emergency basis. She is going on vacation and will have to rent a car. To obtain full automobile insurance coverage when this occurs, what should she purchase?



Your HO3 insured wants to make sure he has liability protection against claims for false arrest, libel and slander. You should

There is type of policy in the commercial insurance field know as a commercial lines package. Why would an insured purchase this structure of policy over a monoline policy

**Don't know?**

Term 

494 of 552

What coverage is available under the extended non-owned liability coverage?

Give this one a go later!

medical payments only



liability and medical payments

liability only

liability and physical damage

Don't know?

Term 

495 of 552

The exclusion for liquor liability found in a commercial general liability policy excludes coverage for any liability claims that are the result of:

Give this one a go later!

non-admitted insurer, property and casualty insurances

the mortgagee is entitled to receive 100% of their loss

there is coverage, but only for the damage caused by the fire and explosion



the insured being in the alcoholic beverage business

Don't know?



Term 

496 of 552

Which type of loss is a business retirement or disability of key employee, exposed to death retirement or disability of key employee,

Give this one a go later!

Liability loss exposure



Personnel loss exposure

Property loss exposure

Financial loss exposure

Don't know?

Term 

497 of 552

Which of the following is a true statement about CAARP

Give this one a go later!

the named insured's( non-resident) spouse

additional cost necessary to make a restroom ADA compliant

✓ the minimum liability for CAARP policies are 15000/30000/5000

.An at fault accident involving minor bodily injury

Don't know?

Term 

498 of 552

"other-than-collision" coverage of a personal auto policy includes which of the following types of losses

Give this one a go later!

the broadest coverage on any auto shown in the declarations



theft of any of these would be covered

make no mention of vehicle inspection requirement

breakage of glassware by an earthquake

Don't know?

Term 

499 of 552

A pickup or van with a gross vehicle weight of 9,500lbs. may be eligible for personal policy if it was used in the

Give this one a go later!

liability and medical

✓ farming or ranching

falling objects

An endrorsment

Don't know?

Term 

500 of 552

Which peril(s) is/are included in vacancy permit endorsement?

Give this one a go later!

Built- in appliance

breach of liability



all of the above

Weight of contents

Don't know?

Term 

501 of 552

Which of these is defined as "exclusive agent"

Give this one a go later!

Sells for a brokerage firm

Sells for multiple insurance companies

Sells only life insurance products

✓ Sells for one insurance company and only that company's products.

Don't know?

Definition 

502 of 552

the increased expense incurred for the insurer to repair or rebuild property according to building code specification

Give this one a go later!

The watercraft endorsement on a homeowners policy extends coverage for

Which exclusion in the "causes of loss-special form" excludes coverage for mudflow



Ordinance or law coverage provides protection which of the following losses

The ordinance or law limitation in a homeowners policy may cause a gap in coverage in which of the following situations?

Don't know?

Term 

503 of 552

There is type of policy in the commercial insurance field know as a commercial lines package. Why would an insured purchase this structure of policy over a monoline policy

Give this one a go later!

bulk mailing

broadest coverage for any  
vehicle shown on the declarations

Valuation clause

✓ it provides the convenience  
of one policy for all  
exposures and risk

Don't know?



Term 

504 of 552

- All of the following factors can be used according to the insurance code in California to determine auto insurance policy rates in addition to any other factors the insurance commissioner is allowed to adopt; and include by regulation

Give this one a go later!



1 and 3 only

Weight of contents

all perils

Liability loss

Don't know?

Term

505 of 552

Very often the deductible amount under the collision and other than collision sections of a personal auto policy are different. With this in mind, what would be the amount that an insure would pay for a loss under the following circumstance: \$500.00 deductible for other-than-collision, and \$250.00 for collision losses? An accident occurs when an insured runs a red light and collides with another car, causing \$1750.00 worth of damage to his vehicle

Give this one a go later!

☒ \$1500.00☐ \$170000☐ Vancouver, Canada☐ Replacement value

Don't know?

Term 

506 of 552

If an insured borrows a neighbor's vehicles to run a personal errand, how do the policies respond in the event of an auto accident?

Give this one a go later!



the neighbor's policy is primary and the driver's policy is excess

Damage for breach, reasonable attorney fee and cost

the personal auto policy is excess

there is coverage, but only for the damage caused by the fire and explosion

Don't know?

Term 

507 of 552

Which of the following is best defined as "the taking of property from a person by someone who has caused or who has threatened to cause that person bodily harm"?

Give this one a go later!

10 days

Underwriting

4 days

✓ robbery

Don't know?

Definition 

508 of 552

when the insurance company representative signs the notice of appointment

Give this one a go later!

• When is the authority to transact insurance transferred to another insurance company

• When does the authority to transact insurance expire for a licensee from an insurance company

• When does the authority to transact insurance become suspended for a licensee from an insurance company

✓  
• When does the authority to transact insurance that is granted to a licensee from an insurance company become effective

Don't know?

Term 

509 of 552

All of the following occupation are exposed to a chance of failing to properly fulfill professional duties and are therefore potential prospects for profession liability policies, except

Give this one a go later!

the perils insured against

Vancouver,Canada

✓ professional sports player

Retention of the loss by the insured

Don't know?

Term 

510 of 552

The state law that regulates insurer practices regarding underwriting. Sales. rate-making and claims handling are called

Give this one a go later!

risk classification regulation

financial solvency regulation

solvency surveillance regulation

✓ market conduct regulation

Don't know?

Term 

511 of 552

A distinct feature of the alternative funding method know as self-funding is

Give this one a go later!

The premiums are fixed annually

The coverage is standardized for all members



The benefits are tailored to the group

The risks are shared with an external insurer

Don't know?



Term 

512 of 552

An applicant of insurance does not reveal information that the insurer would rely upon to issue the policy this is/an

Give this one a go later!

neither of these apply

✓ concealment

amitted

insolvent

Don't know?

Term 

513 of 552

The commercial general liability (CGL) declaration pages display many different limits of insurance that apply to a policy. One limit shown is the insured's general aggregate limit. Which of the following is correct statement about the general aggregate limit?

The general aggregate limit

Give this one a go later!

a private passenger auto owned by a partnership



does not included the products- completed operation aggregate limit

the named non-owned coverage endorsement

the insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%

Don't know?

Term 

514 of 552

What is one the main factors that the insuruce commissioner uses while detereming whether a rate excessive or unfairly discriminatory?

Give this one a go later!

whether the rate is approved by the state legislature



wheter the rate  
mathematically reflects the  
insurance company's  
investment income

whether the rate is competitive  
with other industries

whether the rate aligns with  
market trends

Don't know?

Term 

515 of 552

What type of coverage is usually provided by an inland marine policy

Give this one a go later!

additional living expense

✓ open or all-risk coverage

Built- in appliance

does not have a time nor a dollar limit

Don't know?

Term 

516 of 552

Under section 2 of a homeowner's policy, comprehensive personal liability, coverage is extended to which of the following

Give this one a go later!

business owners policy

the personal auto policy



premise described in the policy and all personal activities of the insured on or off the described premises

a loss occurs or event can occur and still be eligible for recover of payment under the terms of the policy, if it occurs after this date

Don't know?

Term

517 of 552

The limit of liability under a personal auto policy under the section "coverage for damage to your automobile is typically the lesser of the dollar amount needed to replace or repair the damage property or the \_\_\_\_ of the damaged property. From the following choices, fill in the blank with the correct answer.

Give this one a go later!

hitting any other vehicle or object with the insured vehicle, or the upset of the insured vehicle

.An at fault accident involving minor bodily injury

perils insured against under coverage C



actual cash value (ACV) or fair market value

Don't know?

Term 

518 of 552

Which of the following events within the last three years would disqualify an individual from receiving a good driver discount?

Give this one a go later!

paint on the premises to be applied to the interior



.An at fault accident involving minor bodily injury

a home well taken care and is located in specially designated hazardous brush fire area

Weight of contents

Don't know?

Term 

519 of 552

One of the major advantages to insured's of a commercial lines package program over purchasing coverage on a mono-line basis is:

Give this one a go later!

this limit could reduce the products and completed operations

the content and wording of the policy is stated in the state insurance code

the insured being in the alcoholic beverage business



the convenience of having all coverage in one policy

Don't know?



Term 

520 of 552

• It is vital that an insurance agent/broker fully assess analyze and review a particular risk in order to determine the proper insurance coverage needed. The least likely way to do this is to

Give this one a go later!

focus on the price of the insurance policy

emphasize the speed of processing the application

ignore the customer's financial situation

✓ review all coverage in their current insurance contracts as well as the premiums paid

Don't know?

Term 

521 of 552

What would the commissioner likely do if an agent induces a client to co sign a loan

Give this one a go later!

file a notice of appointment with the commissioner

impose a penalty up to \$1,000

impose a penalty up to \$500

 suspend the agent's license

Don't know?

Term 

522 of 552

Jim, your unmarried homeowner's insured does not own his car. He is planning a vacation trip to Florida and will be renting a car. He also drives cars belonging to friends occasionally. To protect Jim in these situation, you would recommend a personal auto policy with a

Give this one a go later!

covered as other collision loss



named non-owner coverage endorsement

named non-owned liability coverage

actual cash value (ACV) or fair market value

Don't know?

Definition 

523 of 552

## falling objects

**Give this one a go later!**

Which of the following perils is covered by a "causes of loss-basic form"?



Which of the following perils is included in the broad form, but not in the basic form

Which exclusion in the "causes of loss-special form" excludes coverage for mudflow

Under a standard (ISO)HO3, real property and personal property are covered for the perils on

**Don't know?**

Definition 

524 of 552

the insured desires broader coverage

Give this one a go later!

What would the commissioner likely do if an agent induces a client to co sign a loan

Which of the following coverage's may you buy with a named non-owner liability policy?(choose the most complete answer)

It is a violation of the CA insurance code to act as a producer for a non admitted carreier unless

✓ Which is a valid reason for an applicant to purchase a HO3 policy instead of dwelling policy?

Don't know?

**Definition** 🔊

525 of 552

physical damage, liability and medical payments

**Give this one a go later!**

Which inland marine floater is most similar to the scheduled personal property endorsement on a homeowners policy?

Which of the following is not listed on a commercial general liability declarations page as an aggregate limit?

What would the commissioner likely do if an agent induces a client to co sign a loan

✓ Which coverage's are typically provided in a boat owners policy?

Don't know?

Definition 

526 of 552

actual cash value of the damaged or stolen property

Give this one a go later!

The definition of "mobile equipment" and "automobile" are defined in both a commercial general liability policy and business auto policy to specify the coverage on any vehicle or equipment. These two coverage's

What else must an applicant for a fire and casualty license . life agent license. Or personal lines agent license complete in addition to pre-classroom study?

✓ The limit of liability in a personal auto policy providing coverage for "damage to your automobile" is stated as " the lesser of the amount necessary to replace or repair the damaged property (vehicle) or the \_\_\_\_\_(fill in the blank from the choice below

The amount to replace an insured's damaged property

Don't know?

**Definition** 🔊

527 of 552

paint on the premises to be applied to the interior

**Give this one a go later!**

What coverage is available under the miscellaneous type vehicle endorsement?

What additional coverage's are available under the scheduled personal property endorsement that is not available under an unendorsed homeowners policy?

All of the following meet the definaition of the insured under a HO3 policy, EXCEPT

✓ What items of personal property are included in a coverage A under HO3 policy

**Don't know?**



Definition 

528 of 552

there is coverage, but only for the damage caused by the fire and explosion

Give this one a go later!

Which of the following losses would be covered under Dick's personal auto policy other than collision coverage?

What will the mortgage holder do in the event that an insurer does not pay claim as the result of the actions of the insured

Which is a valid reason for an applicant to purchase a HO3 policy instead of dwelling policy?



A home is damaged two hours after an earthquake, first by fire, then by fuel pipes bursting and causing an explosion. Under an HO3 form:

Don't know?

Definition 

529 of 552

perils insured against under coverage C

Give this one a go later!

What is one difference between a homeowners policy and dwelling policy for personal property coverage?

Which is a valid reason for an applicant to purchase a HO3 policy instead of dwelling policy?

Where is ocean marine liability insurance found?

✓ What is one way in which the HO2, HO4, and HO6 are similar?

Don't know?

**Definition** 🔊

530 of 552

the named insured's( non-resident) spouse

**Give this one a go later!**

Jack, a condo owners, wants a fire and allied lines coverage for personal property, liability coverage for him and family members, and protection for assessments or damage for the building structure and other common areas. Which homeowners form would you recommend

Your HO3 insured wants to make sure he has liability protection against claims for false arrest, libel and slander. You should



Which of the following persons is not an insured under section1 of a homeowners policy?

The applicant wants a homeowner policy that has open peril coverage on his home(building structure) assuming he is eligible for the policy, which would you recommend?

**Don't know?**

Definition 

531 of 552

there is no appreciable difference

Give this one a go later!

What is the advantage to the insured of purchasing a commercial package policy instead of purchasing the coverage on a monoline basis

✓ What is one difference between a homeowners policy and dwelling policy for personal property coverage?

Which is a valid reason for an applicant to purchase a HO3 policy instead of dwelling policy?

What is the formula for actual cash value (ACV) in determining loss values

Don't know?

Definition 

532 of 552

tree, shrubs, and other plants

Give this one a go later!

What would be the reason(s) for \$100 deductible versus a \$1000 deductible

What is the type of loss exposure that would include land and property attached to it



What is an additional coverage provided by HO3 policy

What items of personal property are included in a coverage A under HO3 policy

Don't know?

Definition 

533 of 552

both provide open peril coverage for the dwelling

Give this one a go later!

How would the damage resulting from hail be covered under a personal auto policy



How are the HO3 and HO5 Similar?

Which of the following would be covered by the physical damage section of a personal auto policy?

which of the following is considered special damages

Don't know?

Definition 

534 of 552

breakage of glassware by an earthquake

Give this one a go later!

What will the mortgage holder do in the event that an insurer does not pay claim as the result of the actions of the insured

What items of personal property are included in a coverage A under HO3 policy

Which of the following persons is not an insured under section1 of a homeowners policy?

✓ What additional coverage's are available under the scheduled personal property endorsement that is not available under an unendorsed homeowners policy?

Don't know?

**Definition** 🔊

535 of 552

Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land

Give this one a go later!



Which of the following loss exposures is not covered by section 2 of Ron's homeowners policy?

What is the limit for sound reproducing equipment under the coverage endorsement for excess sound reproducing equipment, audio, visual and data electronic, tapes , record, disks and other media

The applicant wants a homeowner policy that has open peril coverage on his home(building structure) assuming he is eligible for the policy, which would you recommend?

The watercraft endorsement on a homeowners policy extends coverage for

Don't know?



Definition 

536 of 552

guard dog

Give this one a go later!

• Which of the following best defines a binder

A situation is which there only the possibility of loss or no loss is considered a



Which property is excluded under an HO3 policy?

What factor supportd the principle of indemnity?

Don't know?

Definition 

537 of 552

collapse

Give this one a go later!

What causes is commony used to require's purchase insurance close to the value of the property



What additional coverage is provided in DP3 that is not included in DP1?

What is one peril included in DP2 that is not included in a DP1

What perils are insured against under the "additional coverage's property removed" of a homeowners policy?

Don't know?

Definition 

538 of 552

it is liability coverage, on an excess basis , provided for losses that occur in Mexico, within 25 miles of the California/Mexico international border

Give this one a go later!

• All licensees must be appointed by the insurance companies they represent in order to sell the lines of insurance that a particular insurer may offer. Assuming that a licensed fire and casualty broker/agent has received the proper appointment

What is one the main factors that the insurance commissioner uses while determining whether a rate excessive or unfairly discriminatory?

✓ There is exclusion in an automobile insurance issued by admitted insurer in California regarding coverage in Mexico, which can only be provided through an endorsement to PAP. Which is true regarding this endorsement?

An insured duties after a loss are described in the homeowner's section 1 conditions. Which of the following is NOT a correct statement about these duties? The insured must:

Don't know?

Definition 

539 of 552

## additional living expenses

Give this one a go later!



What additional coverage does a DP2 have compared to a DP1?

What des ocean marine hull insurance cover?

Which of the following perils is covered by a "causes of loss-basic form"?

what of the following is not considered an intentional tort?

Don't know?

**Definition** 🔊

540 of 552

the mortgagee is entitled to receive 100% of their loss

**Give this one a go later!**

If a building damaged during an attempted burglar where money was stolen from a vault, which of the following coverage's would cover the loss of the money as well as the damage to the building?

Which of the following combinations of characteristics should be considered when making a an insurance recommendation to a propective insured that has just purchased a new office building?

If an insured purchased an all- terrain vehicle(ATV), what endorsement can be added to the personal auto policy to insure the vehicle?

✓ If the named insured has been charged with arson in reference to a total loss to the insured's building, what effect will the insured's action have on the mortgage holder's claim for damages?

Don't know?

Definition 

541 of 552

HO5

Give this one a go later!

Which of the following types of businesses could utilize a business owners policy?



Which homeowners form is best for use on a brand-new single family dwelling?

Which of the following would be classified as a property insurance coverage

Which of these covered by an employee dishonesty coverage form?

Don't know?

Definition 

542 of 552

property insured under coverage A

Give this one a go later!



What is the primary difference between a HO2 and a HO4 policy?

Which of the following would be classified as a property insurance coverage

What is the requirement and what is provided under the Mexico coverage endorsement to a PAP in California?

All of the following insurance company are private insurers; EXCEPT

Don't know?

Definition 

543 of 552

the perils insured against

Give this one a go later!

What des ocean marine hull insurance cover?

Which peril(s) is/are included in vacancy permit endorsement?

What is one of the main reasons the federal government insurance programs exist

✓ What is the primary difference between a HO2 and HO3 policy?

Don't know?



Definition 

544 of 552

a well- maintained dwelling located in a hazardous brush area

Give this one a go later!

What is an additional coverage provided by HO3 policy



Which of the following is most likely to be eligible for CA FAIR plan?

The applicant wants a homeowner policy that has open peril coverage on his home(building structure) assuming he is eligible for the policy, which would you recommend?

What items of personal property are included in a coverage A Under HO3 policy

Don't know?

Definition 

545 of 552

water(flood)

Give this one a go later!

The coverage that is the broadest, is found in which of the following dwelling insurance contracts?

• Which of the following insurance professionals would be employed to aid an insurance broker

✓ Which exclusion in the "causes of loss-special form" excludes coverage for mudflow

Which of the following coverage parts is not found in standard commercial policy?

Don't know?

Definition 

546 of 552

riot or civil commotion

Give this one a go later!

Under a building and personal property coverage form, if the insured has been vacant for more than 60 consecutive days. What effect will this have on vandalism loss

Your HO3 insured wants to make sure he has liability protection against claims for false arrest, libel and slander. You should



Which of the following perils is covered by a "causes of loss-basic form"?

A home is damaged two hours after an earthquake, first by fire, then by fuel pipes bursting and causing an explosion. Under an HO3 form:

Don't know?

Definition 

547 of 552

HO3

**Give this one a go later!**

The ordinance or law exclusion/limitation found in property policies such as the commercial property coverage, and in the homeowner policy have the following effect:

The ordinance or law limitation in a homeowner's policy may cause a gap in coverage in which of the following situations?

The watercraft endorsement on homeowners policy extends coverage for

✓ The applicant wants a homeowner policy that has open peril coverage on his home(building structure) assuming he is eligible for the policy, which would you recommend?

**Don't know?**

Definition 

548 of 552

the boat owners policy covers injuries to the people on the boat, and the HO3 covers injuries to other outside the home

Give this one a go later!

Which is a valid reason for an applicant to purchase a HO3 policy instead of dwelling policy?

What is one difference between a homeowners policy and dwelling policy for personal property coverage?

What is self- insured retention under an umbrella policy?

What is the primary medical payment coverage difference between a boat owners policy and HO3 policy?



Don't know?

Definition 

549 of 552

## additional living expense

Give this one a go later!



Which is an additional coverage does a DP2 have compared to a DP1

Which of the following collapse losses would be covered under an HO3

Which of the following coverage's is a property insurance coverage.

Which of the following is not a type property commonly insured by using a comical coverage

Don't know?

Definition 

550 of 552

## Weight of contents

Give this one a go later!

Jack, condo owners, wants a fire and allied lines coverage for personal property, liability coverage for him and family members, and protection for assessments or damage for the building structure and other common areas. Which homeowners form would you recommend

Under a building and personal property coverage form, if the insured has been vacant for more than 60 consecutive days. What effect will this have on vandalism loss

How much coverage, if any, is available under HO3 for landlord's Furnishes?

✓ Which of the following collapse losses would be covered under an HO3

Don't know?

Definition 

551 of 552

coverage C broad named perils

Give this one a go later!



What is the primary difference between an HO3 and an HO5?

What is the primary difference between a HO2 and HO3 policy?

What is one difference between a homeowners policy and dwelling policy for personal property coverage?

What is one peril included in DP2 that is not included in a DP1

Don't know?



Definition 

552 of 552

## Built- in appliance

Give this one a go later!

Which exclusion in the "causes of loss-special form" excludes coverage for mudflow

Which of the following statements is NOT true? A fire and casualty agent

Which of the following would be classified as a property insurance coverage

✓ Which of items of real property under HO3 are valued on an actual cash value basis?

Don't know?